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The Growth We Want

Arief Anshory Yusuf

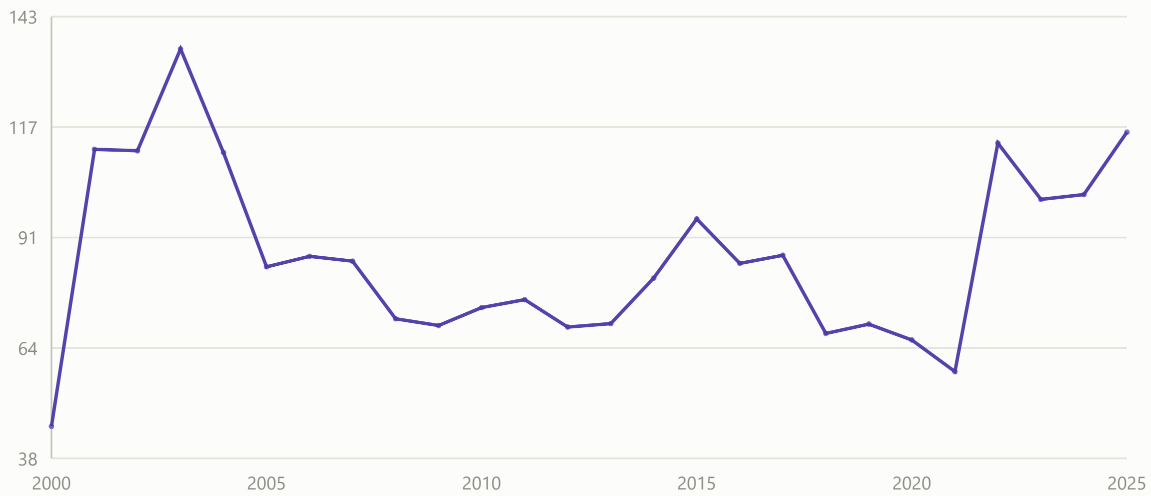
▸ BIO

Inclusive, sustainable, and long overdue. The charts below diagnose why the old growth model stopped working for most people — rising inequality, a hollowed-out middle of the job market, and a populist backlash that tracks it closely — before turning to what a better growth path has to deliver instead: broadly shared gains and a model the planet can actually sustain.

GEOPOLITICAL RISK, SAME WINDOW AS EPU

Geopolitical risk has climbed alongside economic policy uncertainty

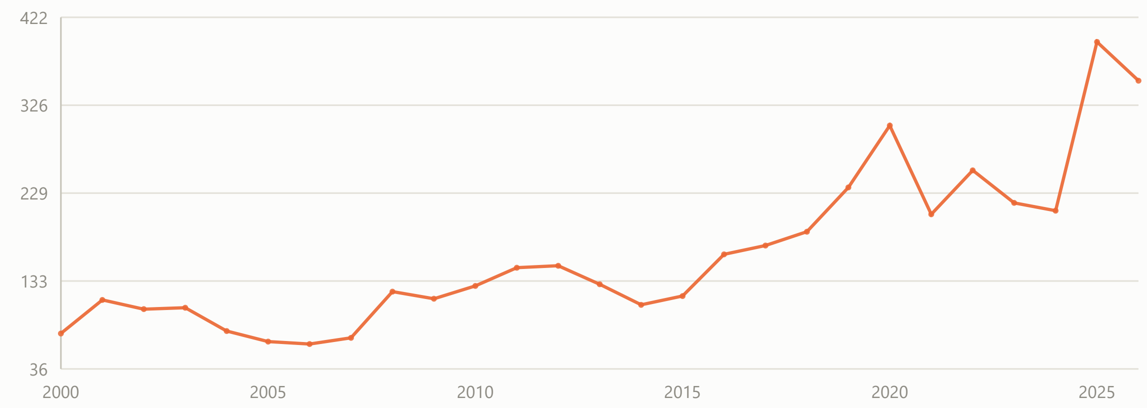
Caldara & Iacoviello Geopolitical Risk Index (historical series), annual average, 2000–2025



PEAK OF GLOBAL UNCERTAINTY

Global Economic Policy Uncertainty is at historic highs

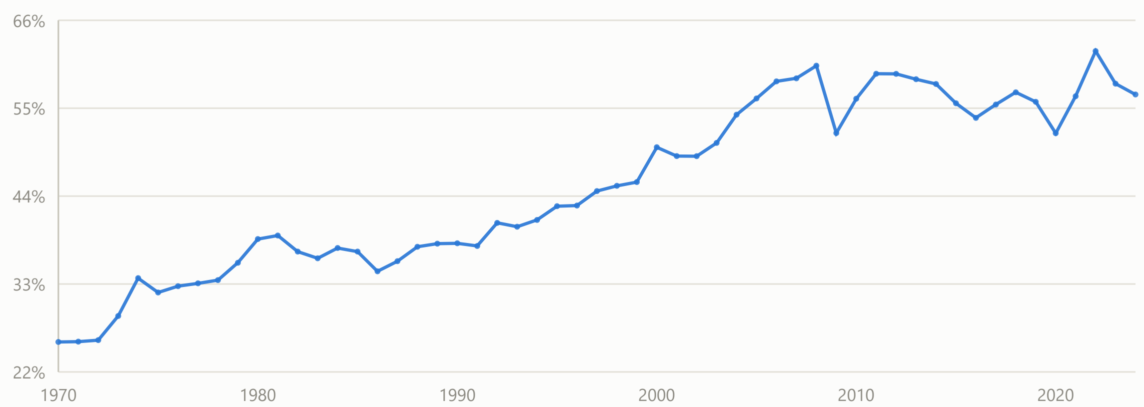
Baker, Bloom & Davis Global EPU Index, annual average of the monthly series, 2000–2025



SLOWBALIZATION

World trade has stalled as a share of GDP since 2008

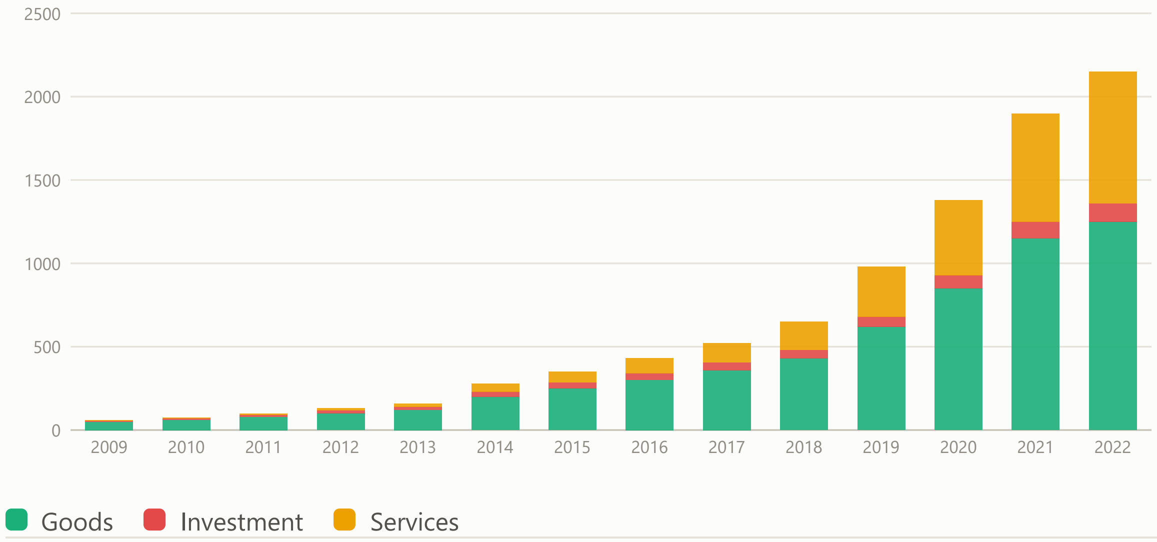
World Bank WDI, `NE.TRD.GNFS.ZS`, world aggregate, 1970–2024



INCREASE OF TRADE PROTECTIONISM

Trade restrictions imposed worldwide have risen sharply

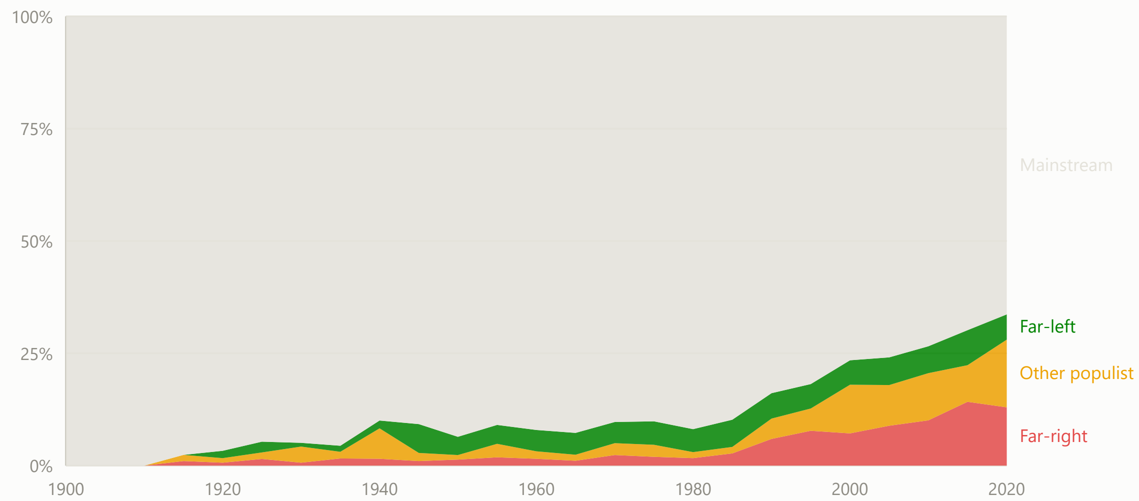
New trade-restrictive measures introduced worldwide per year



INCREASE OF RIGHT-WING POPULISM

Far-right vote share has risen roughly ten-fold since the 1980s

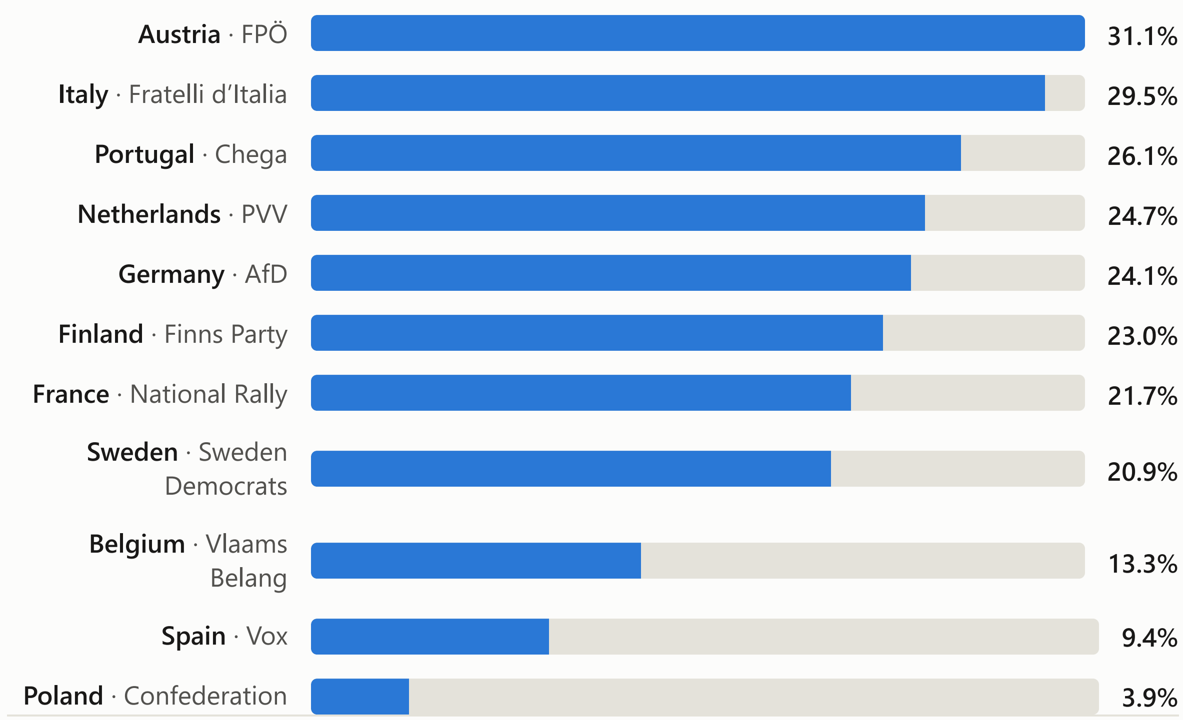
Real election vote shares (ParlGov) classified by party family (PopuList), 30 European countries, 5-year averages



OUTCOMES, NOT JUST ATTITUDES

How large is the far right in parliament right now?

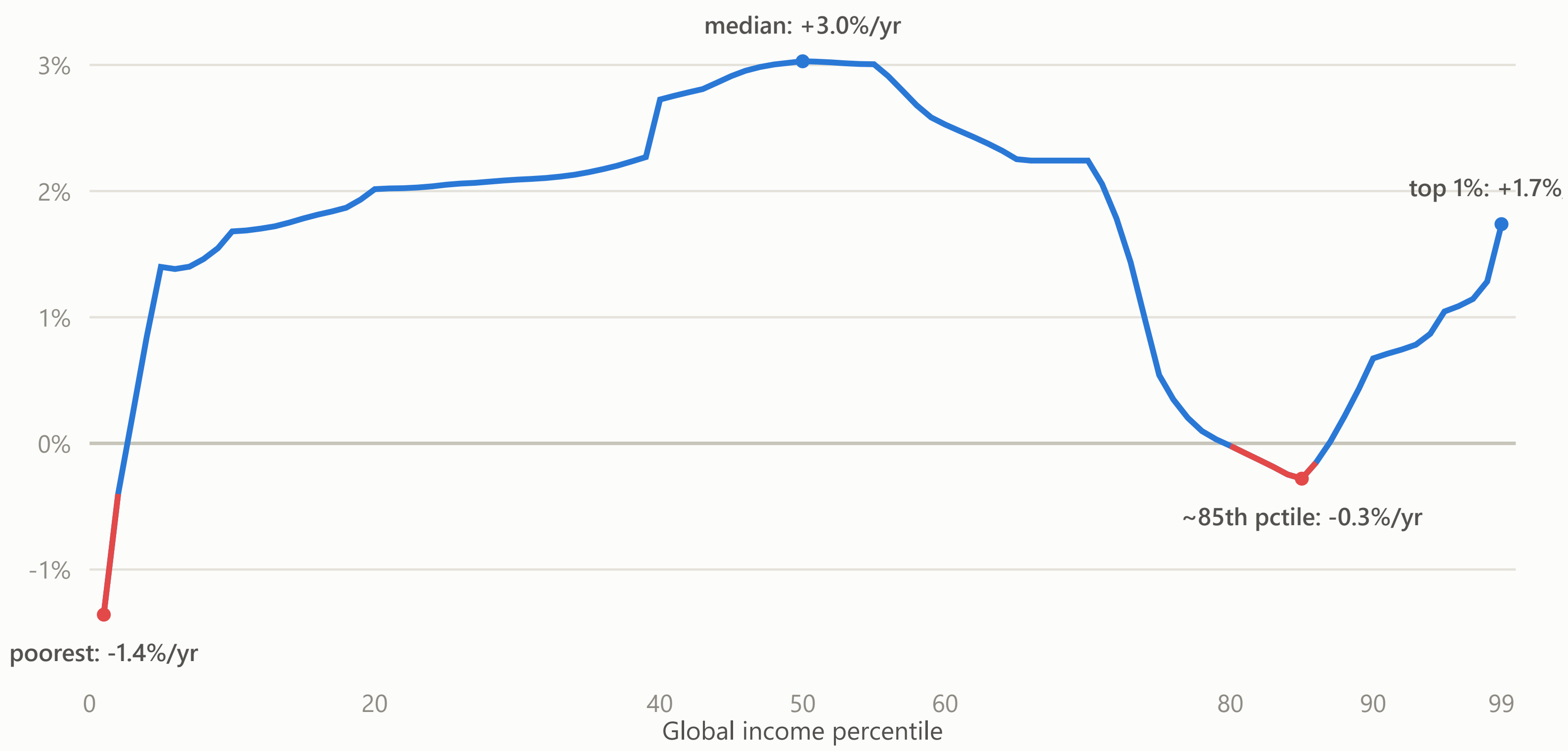
Seat share of the largest far-right party, most recent national lower-house election per country



WHO ACTUALLY GAINED FROM GLOBALIZATION · THE ELEPHANT CURVE

Globalization's gains went to Asia's emerging middle class and to the global top 1% — the rich world's lower-middle class got almost nothing

Annualized real income growth by global income percentile, 1988–2008 — Lakner & Milanovic's World Panel Income Distribution. Around the 56th percentile incomes grew **+3.2%/yr**, and at the very top **+1.7%/yr** — but at the 85th percentile, the working and lower-middle class of rich countries, growth was **−0.3%/yr**. That group is the "trunk" — and the constituency behind the populist turn shown above.



WHOSE DATA THIS IS

Branko Milanović

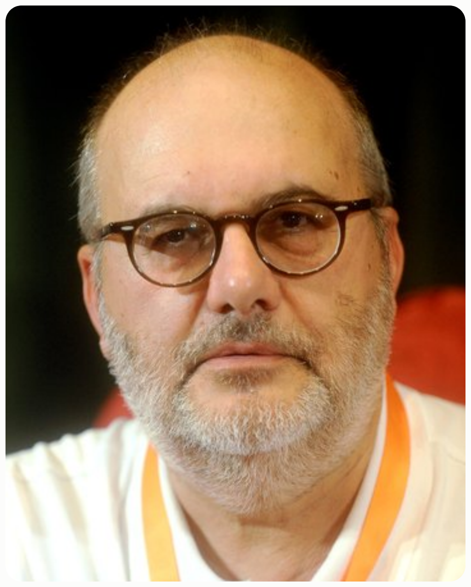


Photo: Niccolò Caranti, Festival dell'Economia di Trento, 2018 · CC BY-SA 4.0

Serbian-American economist, b. 1953 in Belgrade. Former **lead economist in the World Bank's research department**, where he spent about two decades; now at the Stone Center on Socio-Economic Inequality, City University of New York.

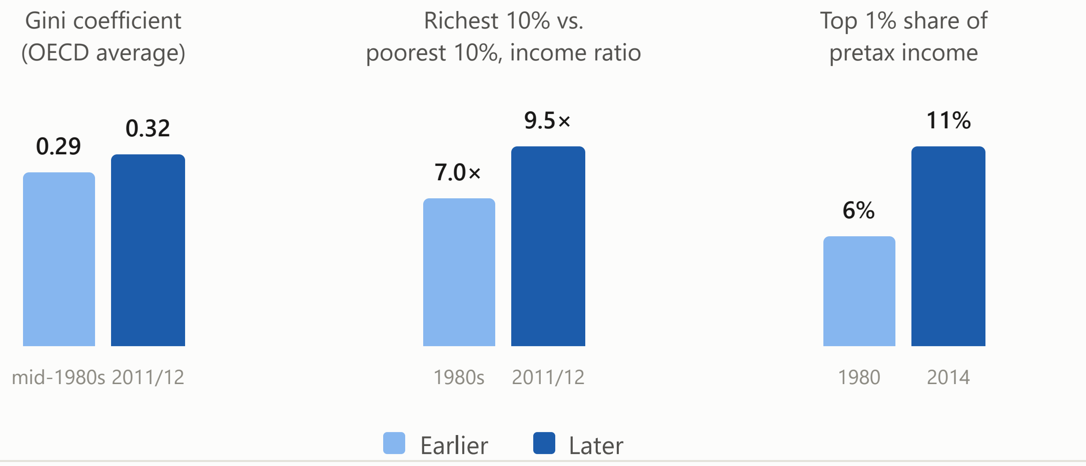
He is the economist who made **global** inequality — inequality between all individuals on earth, rather than within or between countries — a measurable subject, by assembling household surveys from across the world into a single distribution. The chart alongside comes from that work: the *World Panel Income Distribution* he built with Christoph Lakner, whose 1988–2008 growth-incidence curve became known as the "elephant curve."

Books include *Global Inequality* (2016), *Capitalism, Alone* (2019) and *Visions of Inequality* (2023).

INCOME DISTRIBUTION

Three ways OECD inequality rose since the 1980s

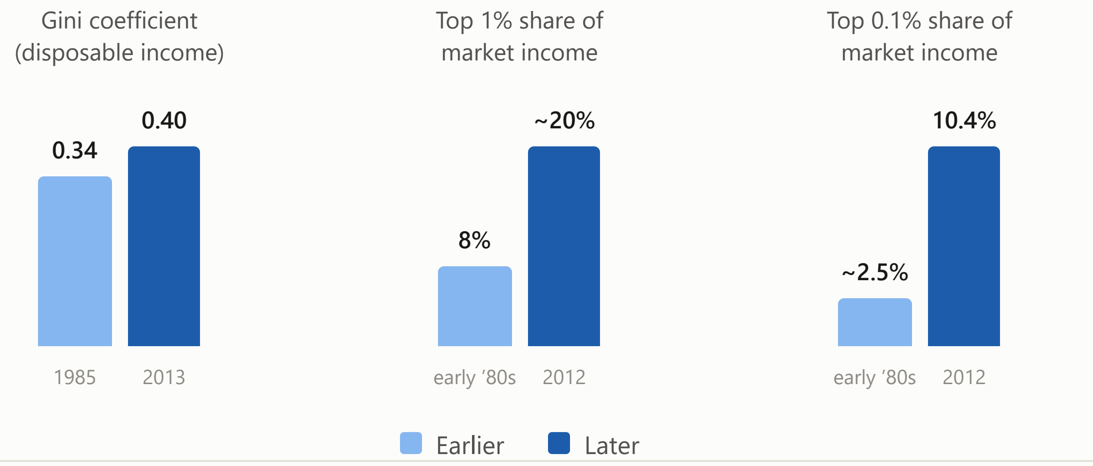
The same country group, compared at two points in time



CONCENTRATION AT THE TOP

The same story, sharper lens: the United States

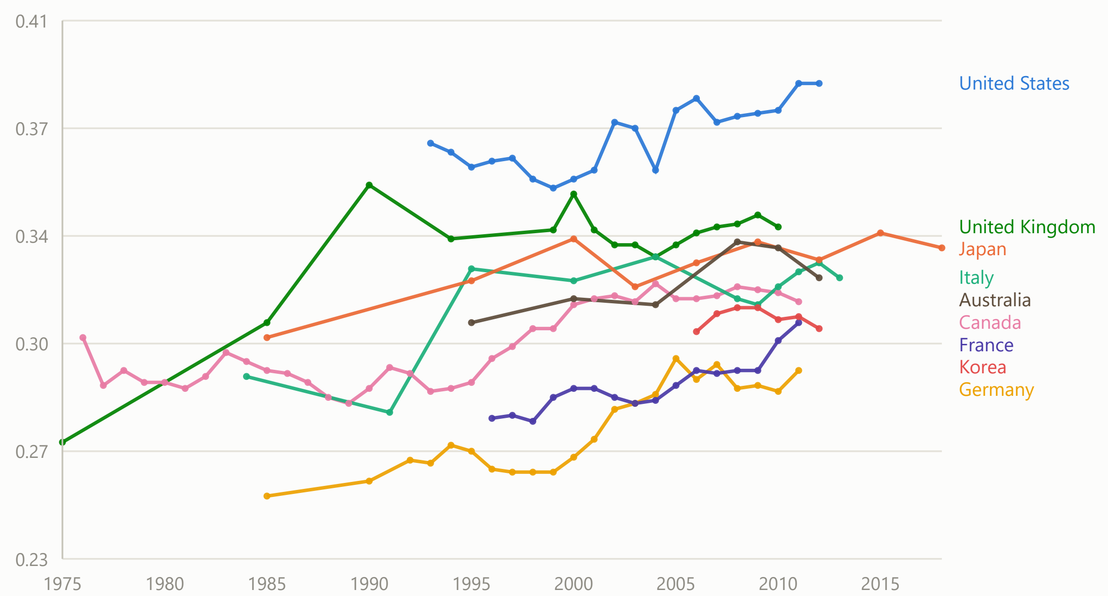
Three separate measures, each rising over roughly three decades



INCOME INEQUALITY ACROSS COUNTRIES

Nine countries' Gini coefficients over time

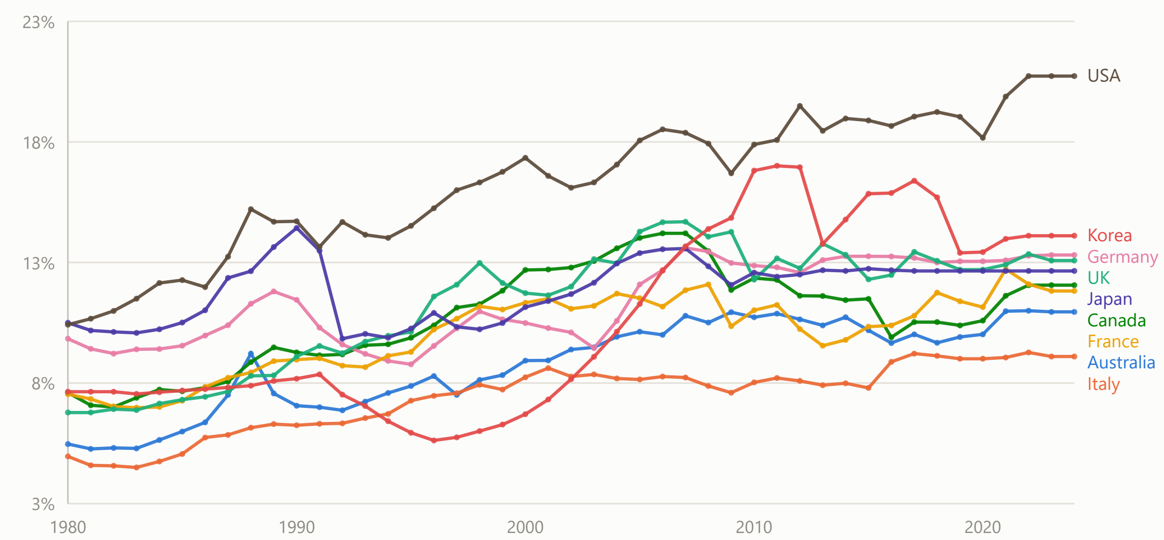
OECD Income Distribution Database



INCREASE IN INEQUALITY

Top 1% income share, nine advanced economies

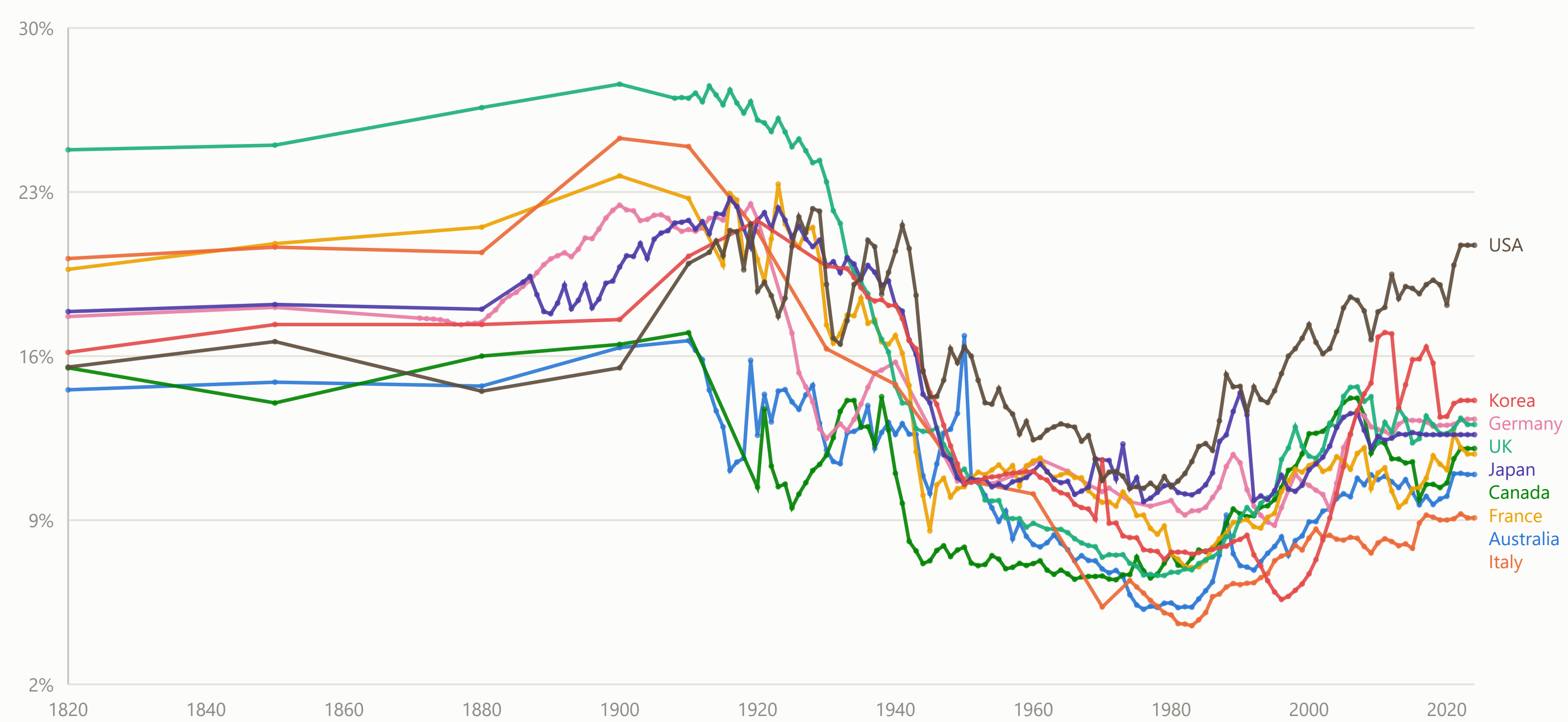
World Inequality Database (WID.world), official data via their R package, 1980–2024



THE LONG VIEW · 1820–2024

Top 1% income share, the full WID history: 1820–2024

The same nine countries, extended back to the earliest year on record



WHOSE DATA THIS IS

Thomas Piketty

Photo: Gobierno de Chile, 2015 · CC BY 2.0

French economist, b. 1971. Professor at the **Paris School of Economics** and the **School for Advanced Studies in the Social Sciences (EHESS)**. The economist most responsible for putting income and wealth inequality back at the centre of the field, largely through *Capital in the Twenty-First Century* (2013) — a rare economics book that became a global bestseller.

That book grew out of a research program he started in the early 2000s with Emmanuel Saez: reconstructing top income shares from historical tax records, initially for France and the US, back to the early 20th century. Extending that method to more countries and longer spans, with Saez, Gabriel Zucman and others, produced the **World Inequality Database (WID.world)** — the top-income-share series used throughout this deck — which he co-founded and now co-directs at the **World Inequality Lab**.

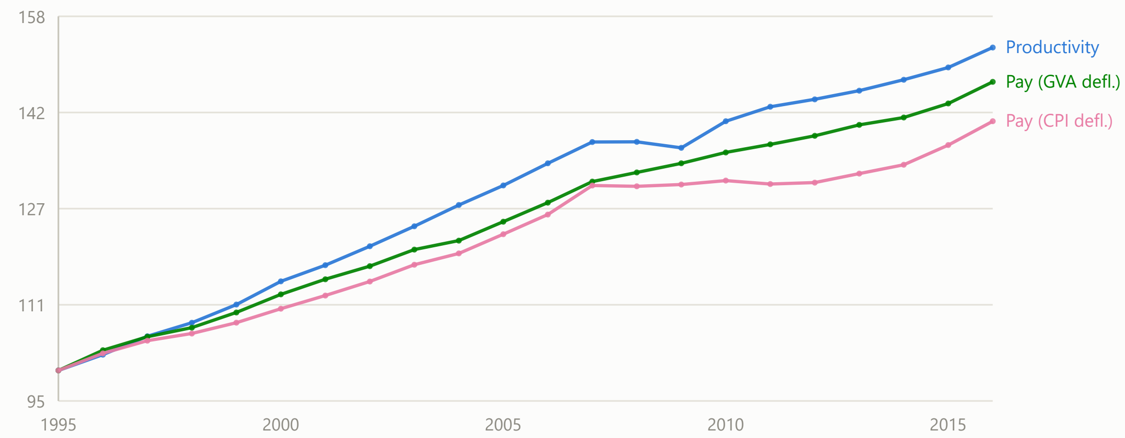
That evidence base has fed directly into policy: progressive wealth-tax proposals in several countries, the OECD/G20 push for a global minimum corporate tax, and the EU Tax Observatory, which he helped found to track tax avoidance and inequality across Europe.

Other books include *Capital and Ideology* (2019).

THE GREAT DECOUPLING

Productivity has outpaced compensation since the late 1990s

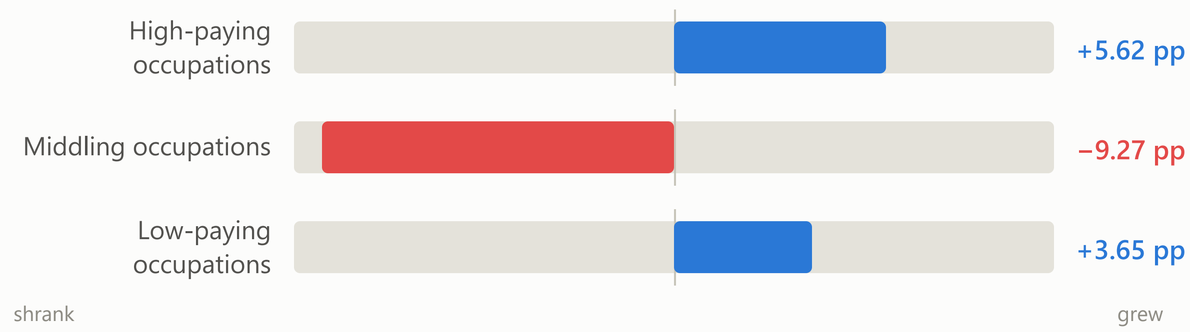
OECD Compendium of Productivity Indicators 2018, Figure 5.5 StatLink data, unweighted average of 20 OECD countries, 1995–2016



LABOR MARKET

The middle of the job market hollowed out

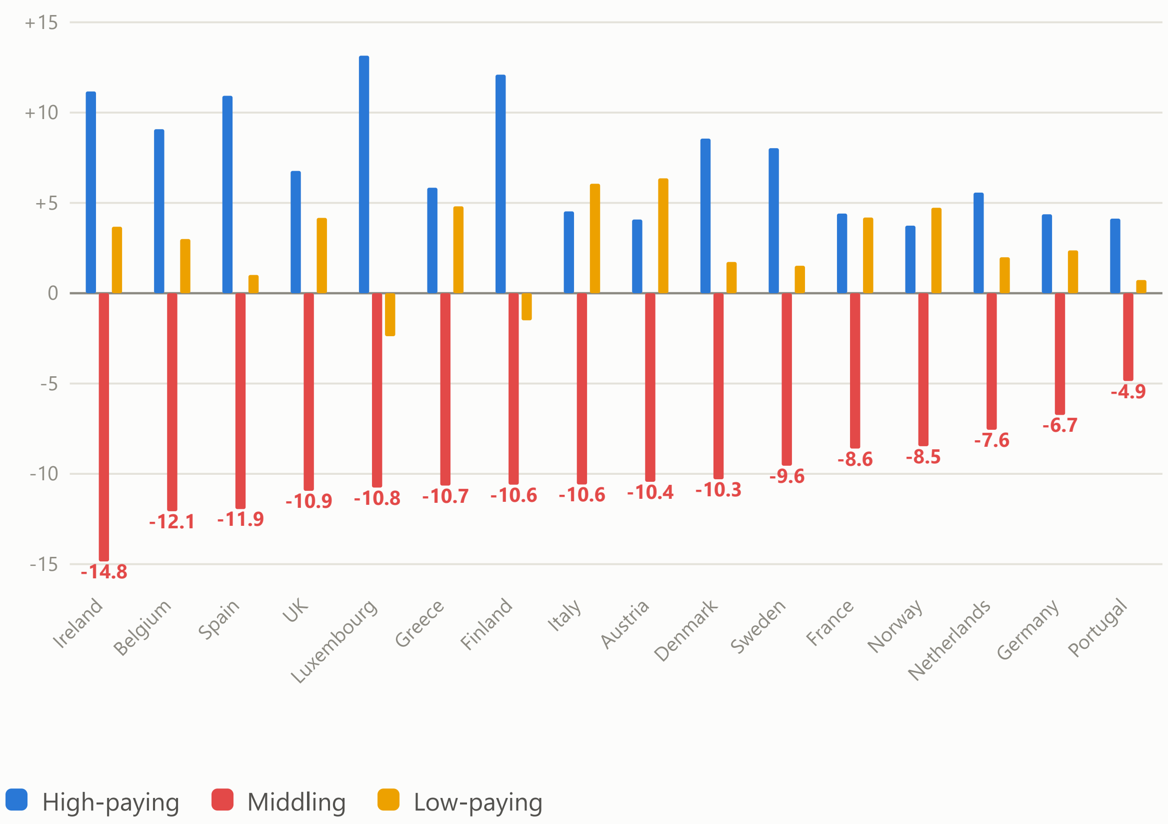
Change in employment share by wage tier, 16 Western European countries, 1993–2010



JOB POLARIZATION · 16 COUNTRIES

Every one of 16 countries hollowed out its middle

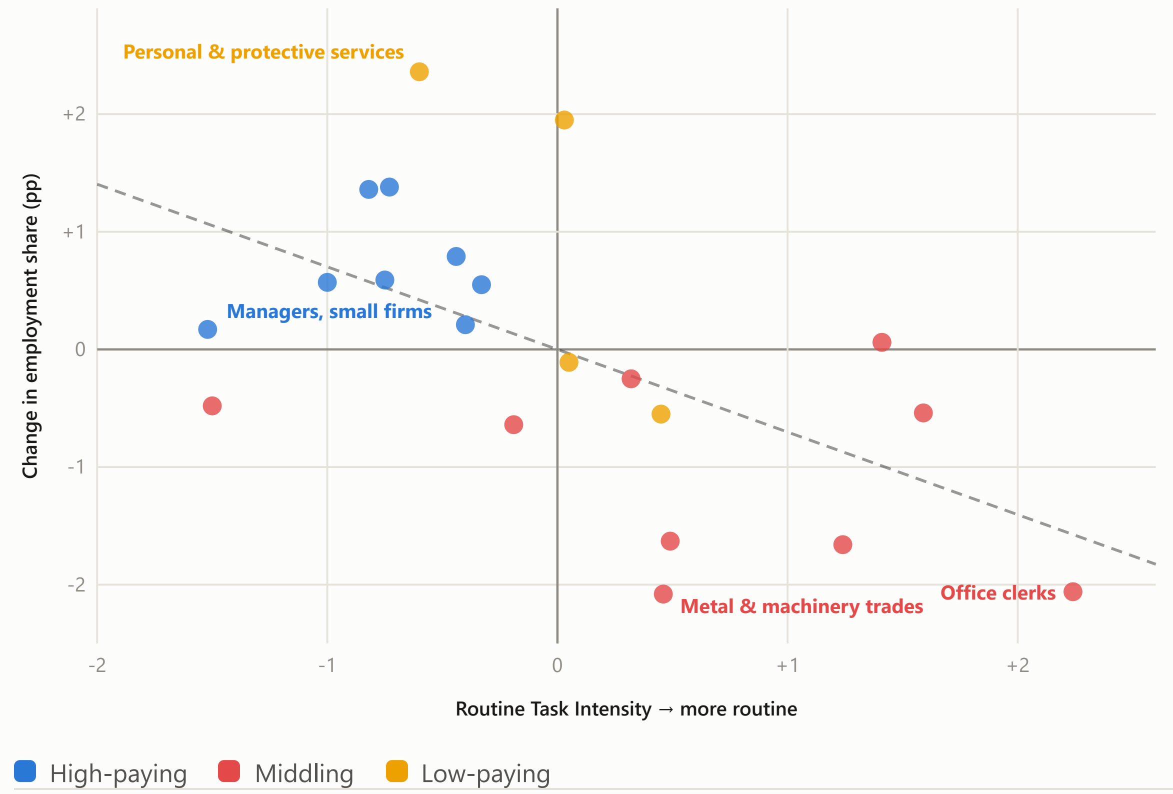
Change in employment share by wage tier, 1993–2010, sorted by size of the middling decline



THE DRIVER · ROUTINE-BIASED TECHNOLOGICAL CHANGE

The jobs that vanished were the routine ones, not the low-skilled ones

Routine Task Intensity vs. change in employment share, 21 occupations, 1993–2010



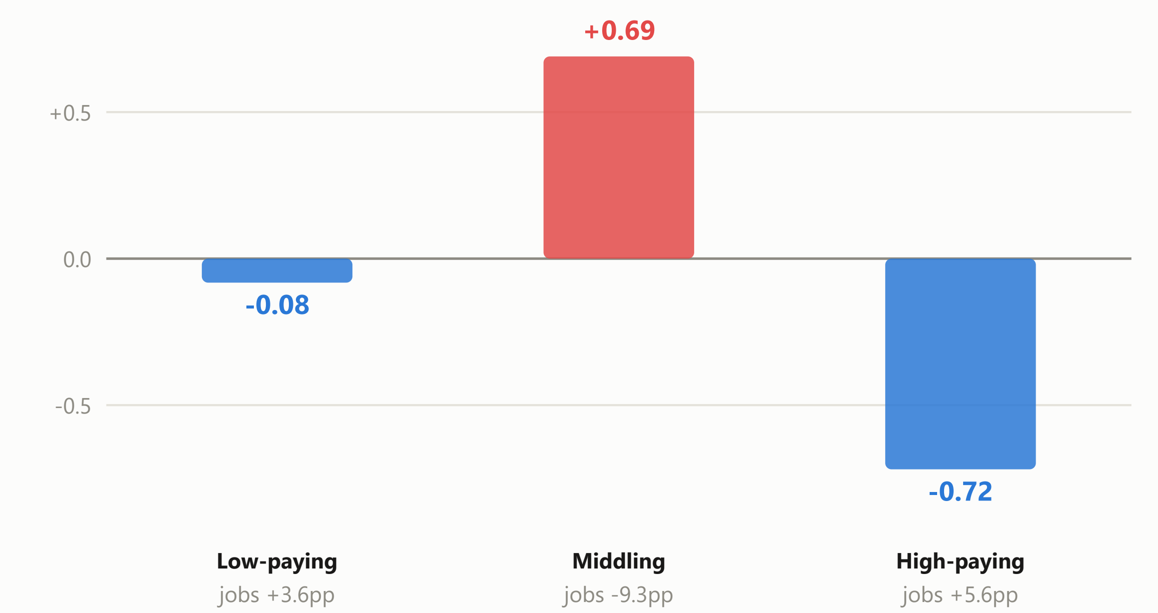
THE INVERSION

Computers automated the middle. Generative AI points at the top.

THEN · 1993–2010

Computerization pointed at the middle

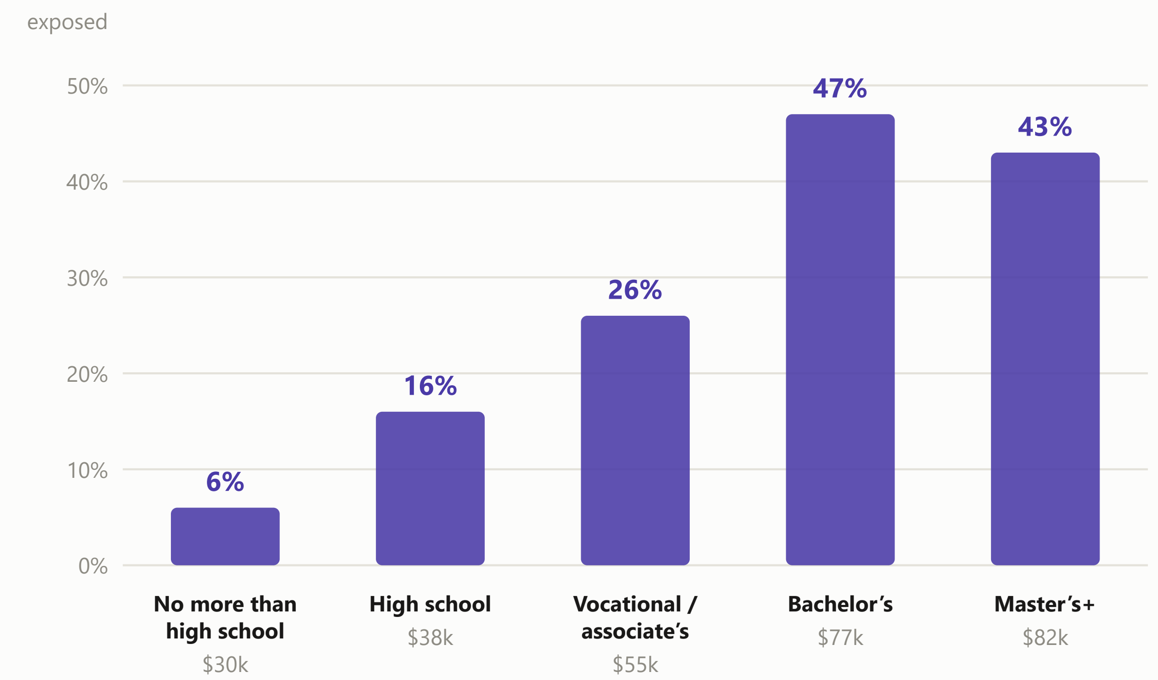
Routine Task Intensity by wage tier — highest in the middle



NOW · 2023

Generative AI points at the top

Share of an occupation's tasks exposed to LLMs, by education required — highest at the top · **exposure, not predicted job loss**



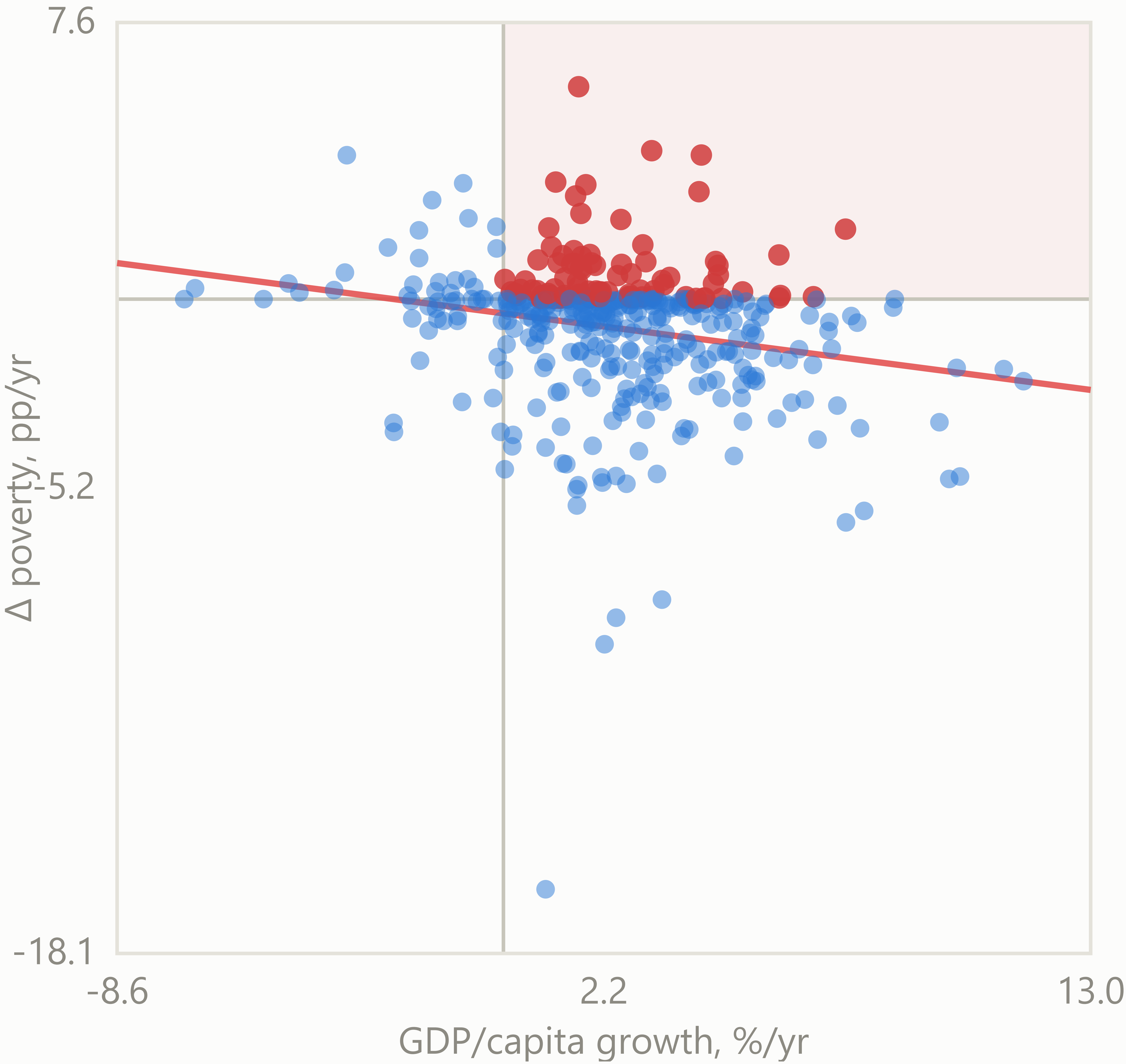
Growth reduces poverty, but not always

n = 397 country-spells per poverty line (gap of 3–7 years between surveys; Belarus 1995–1998 dropped as an outlier — a post-Soviet transition spell with +7.9%/yr growth alongside a +12 to +17.5 pp/yr jump in poverty, which doesn't reflect the general pattern)

$2.15/day (extreme poverty)

n=397 slope=-0.162 r=-0.217

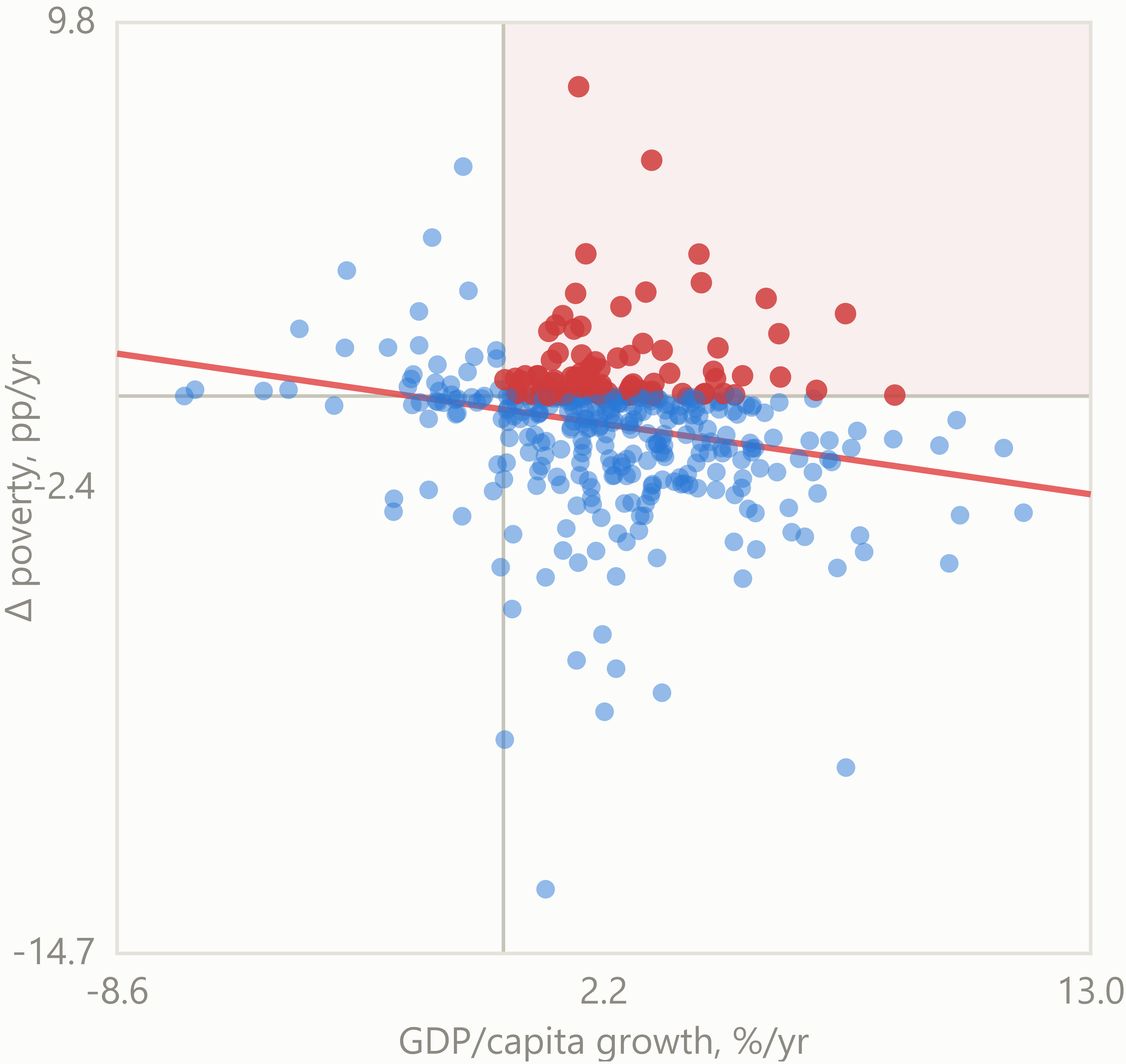
Growth up, poverty up anyway: 87 of 397 (21.9%)



$3.65/day (lower-middle-income line)

n=397 slope=-0.171 r=-0.226

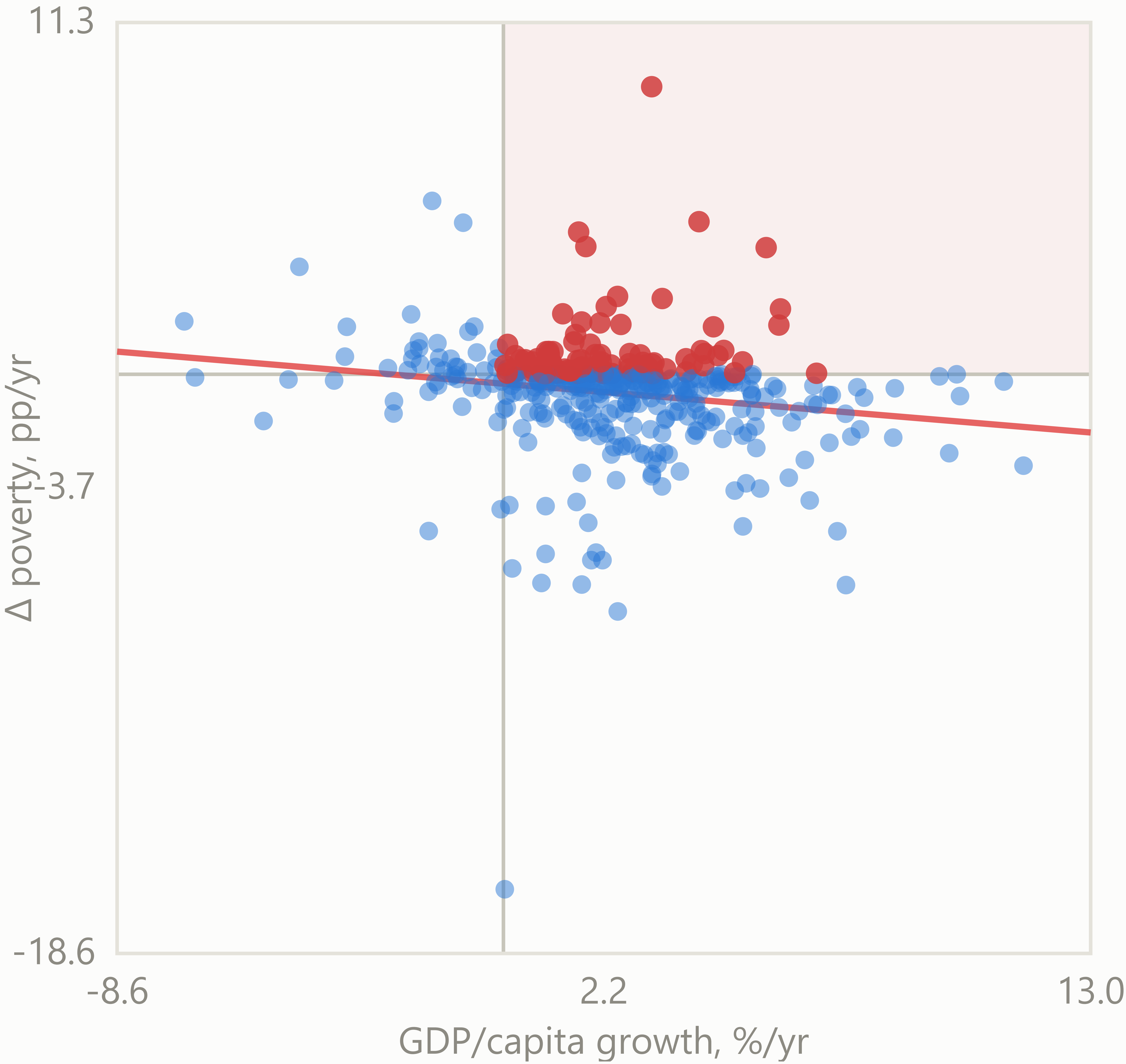
Growth up, poverty up anyway: 92 of 397 (23.2%)



$6.85/day (upper-middle-income line)

n=397 slope=-0.120 r=-0.167

Growth up, poverty up anyway: 94 of 397 (23.7%)



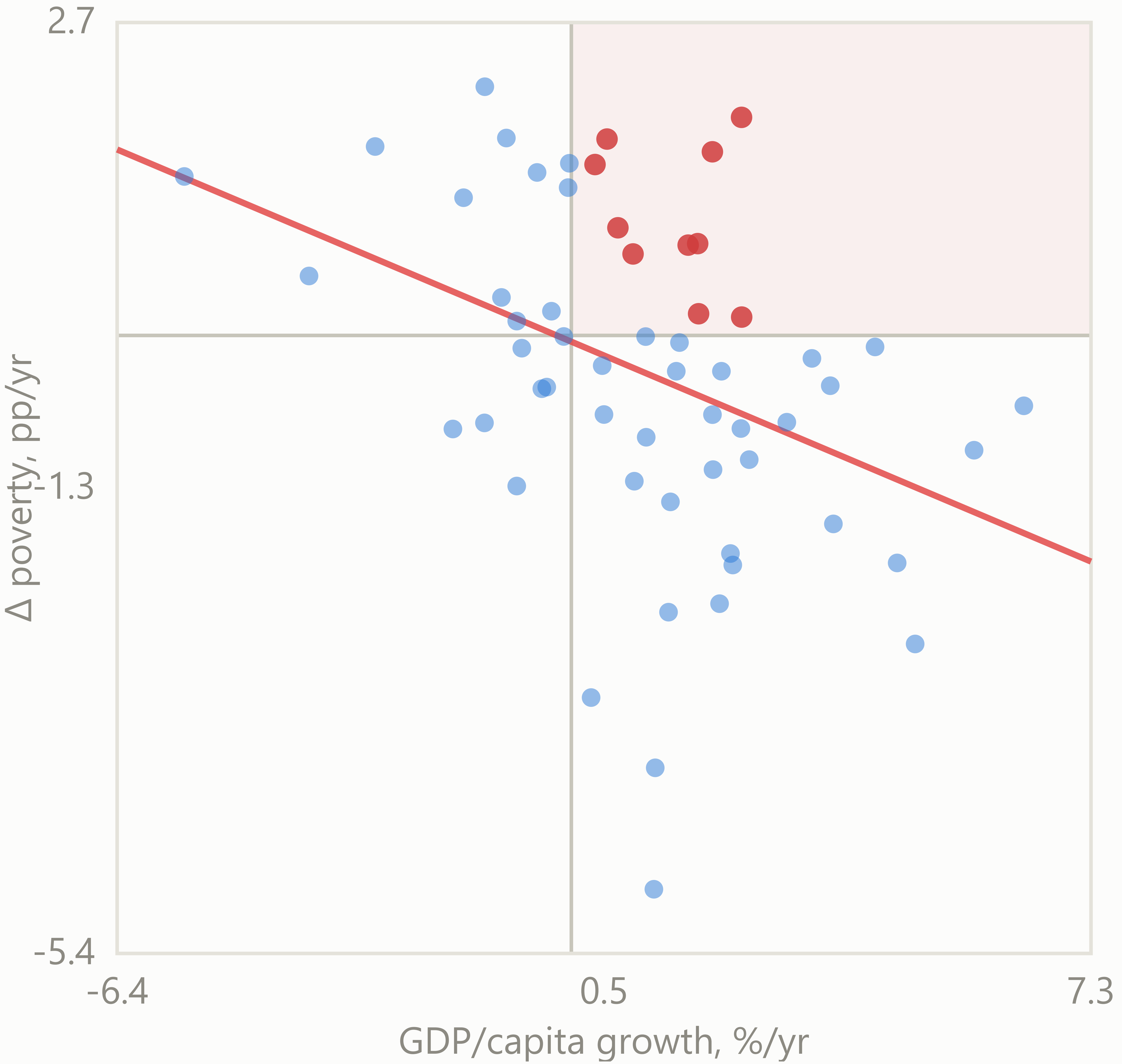
Roughly 10-year spells

n = 58 country-spells per poverty line (gap of 8–13 years between surveys)

$2.15/day (extreme poverty)

n=58 slope=-0.262 r=-0.383

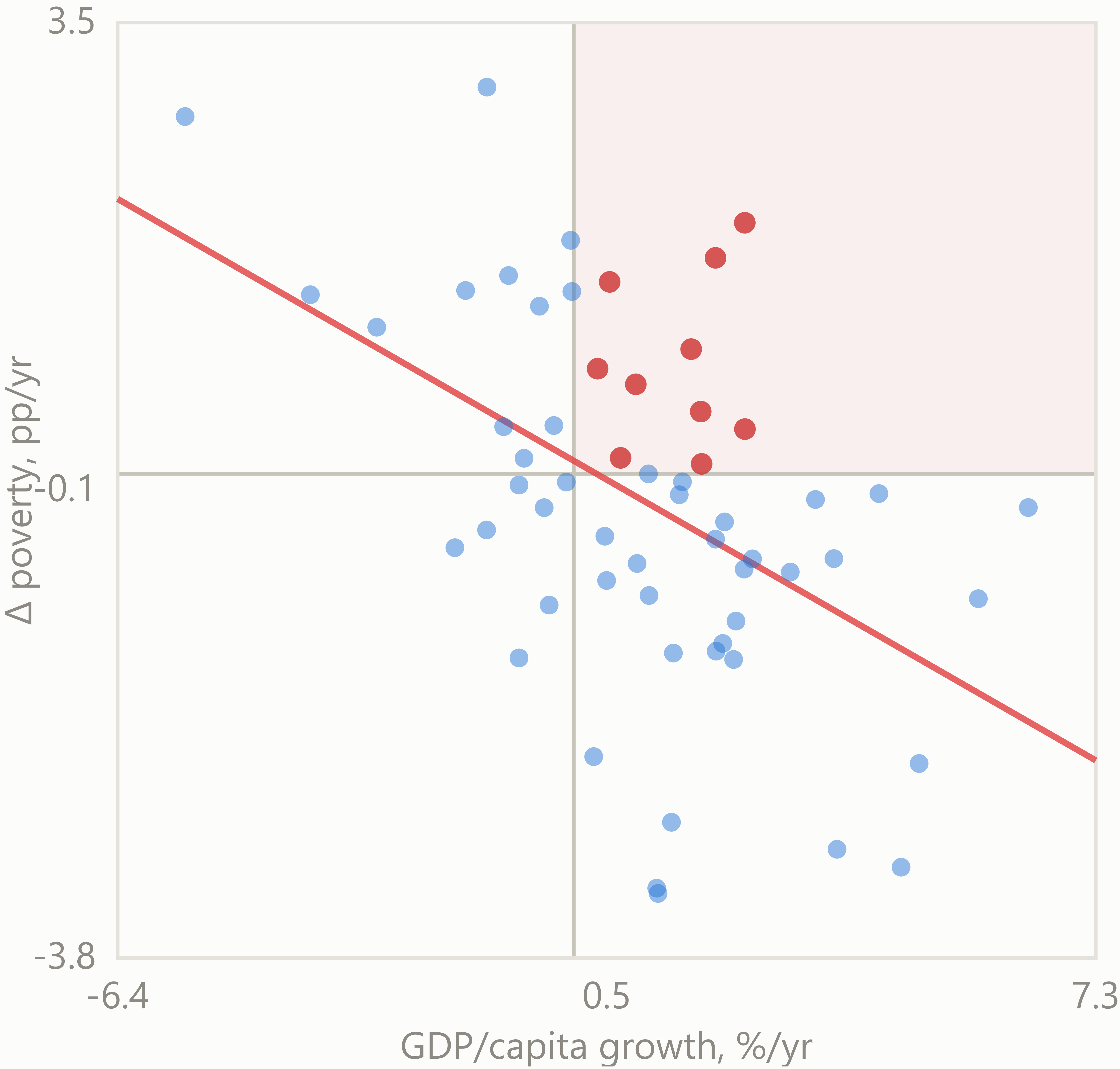
Growth up, poverty up anyway: 10 of 58 (17.2%)



$3.65/day (lower-middle-income line)

n=58 slope=-0.320 r=-0.482

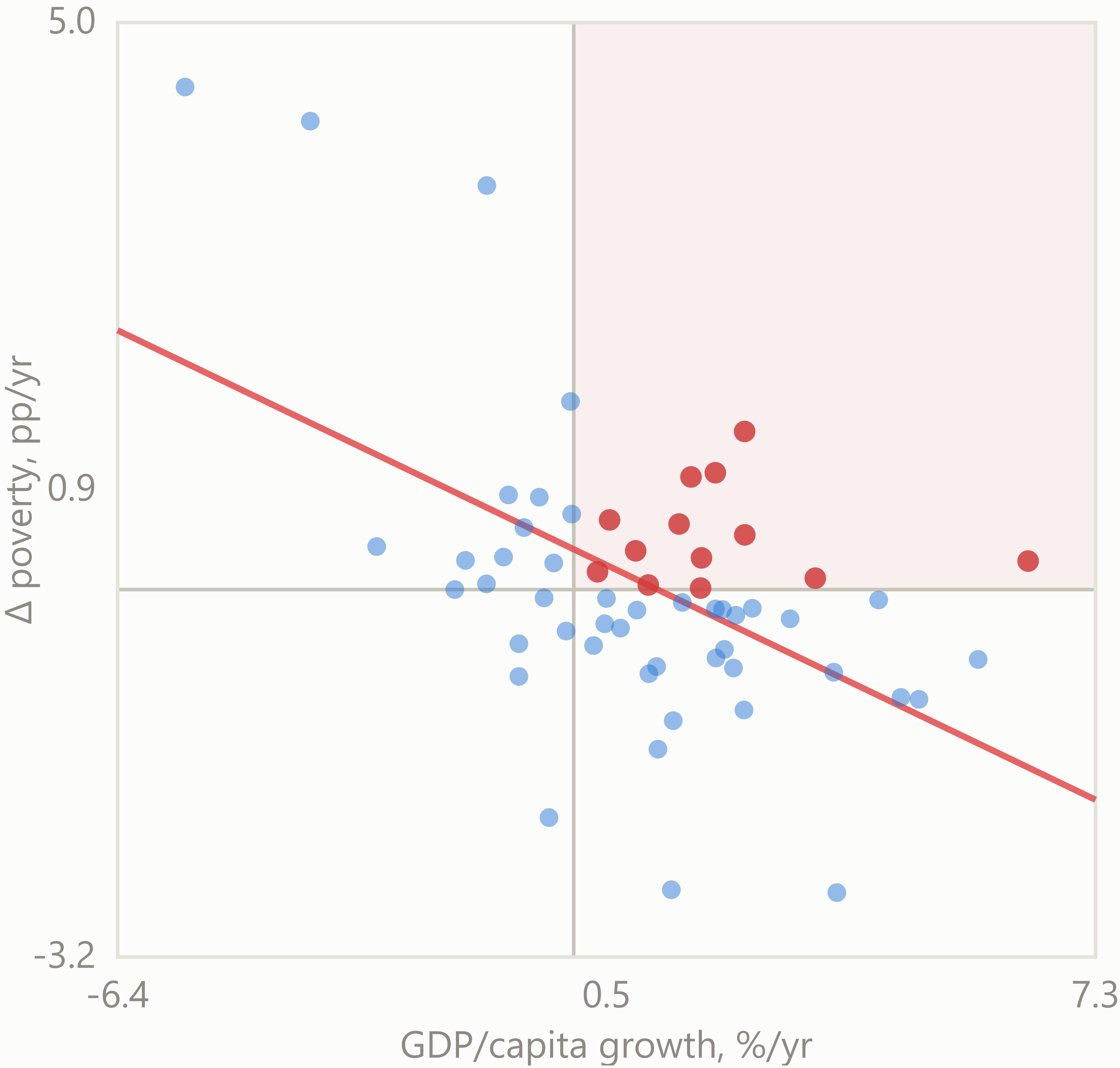
Growth up, poverty up anyway: 10 of 58 (17.2%)



$6.85/day (upper-middle-income line)

n=58 slope=-0.301 r=-0.519

Growth up, poverty up anyway: 13 of 58 (22.4%)

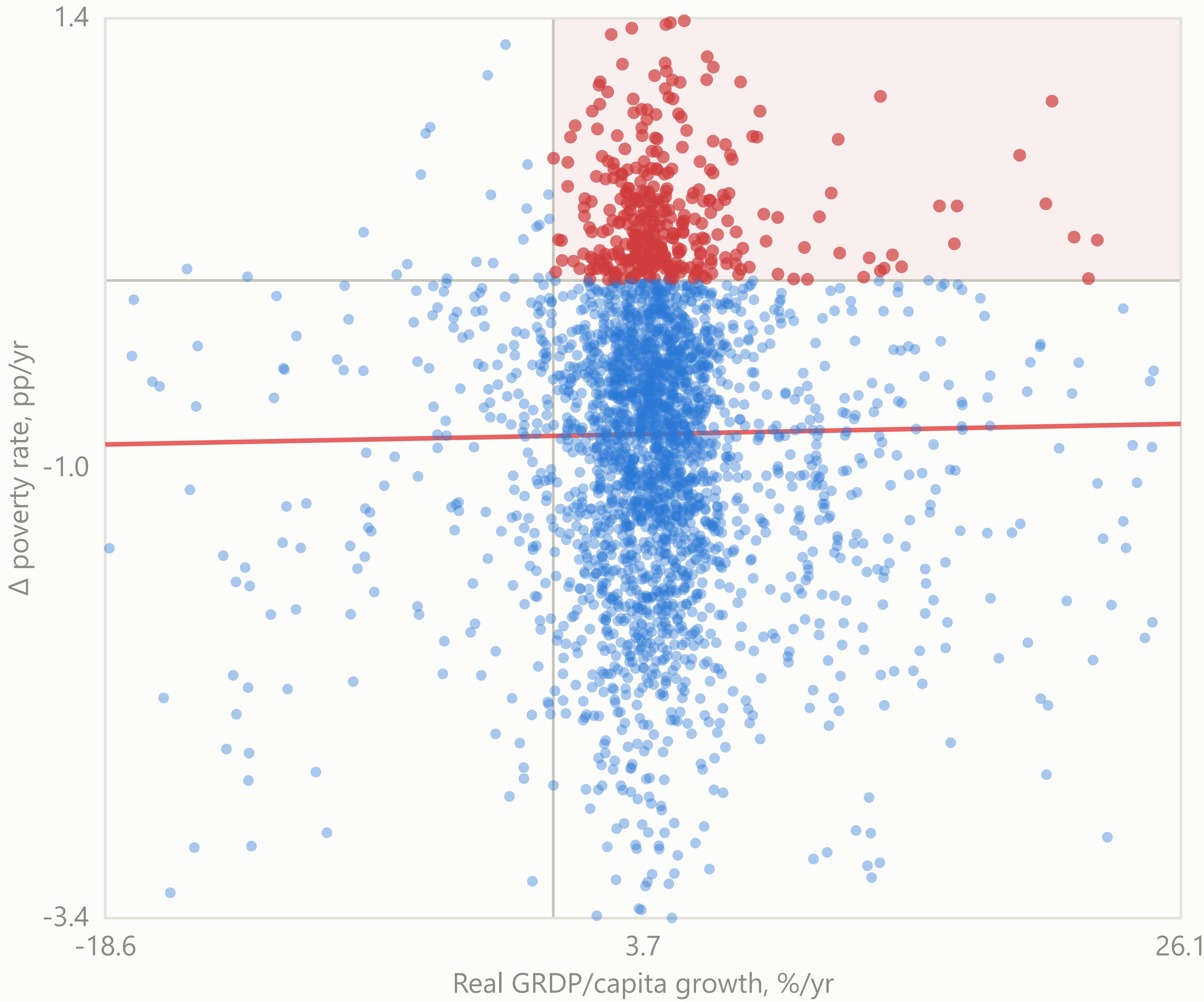


5.0
0.9
-3.2
Δ poverty, pp/yr
-6.4
0.5
7.3
GDP/capita growth, %/yr

Growth reduces poverty, but not always — Indonesia's districts

n=2881 slope=0.002 r=0.016

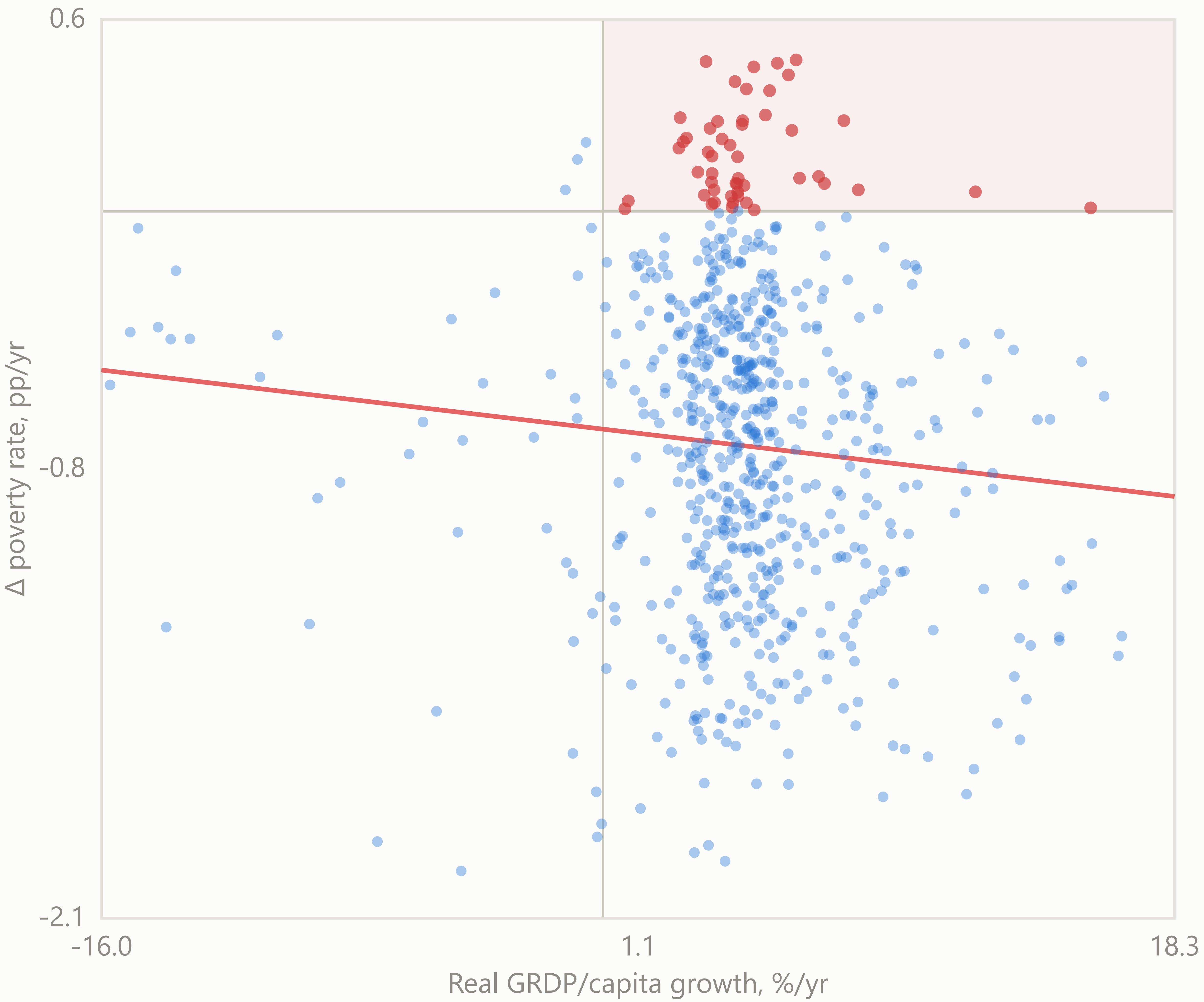
Growth up, poverty up anyway: 367 of 2881 (12.7%)



10-year windows (year → year+10)

n=710 slope=-0.011 r=-0.085

Growth up, poverty up anyway: 54 of 710 (7.6%)

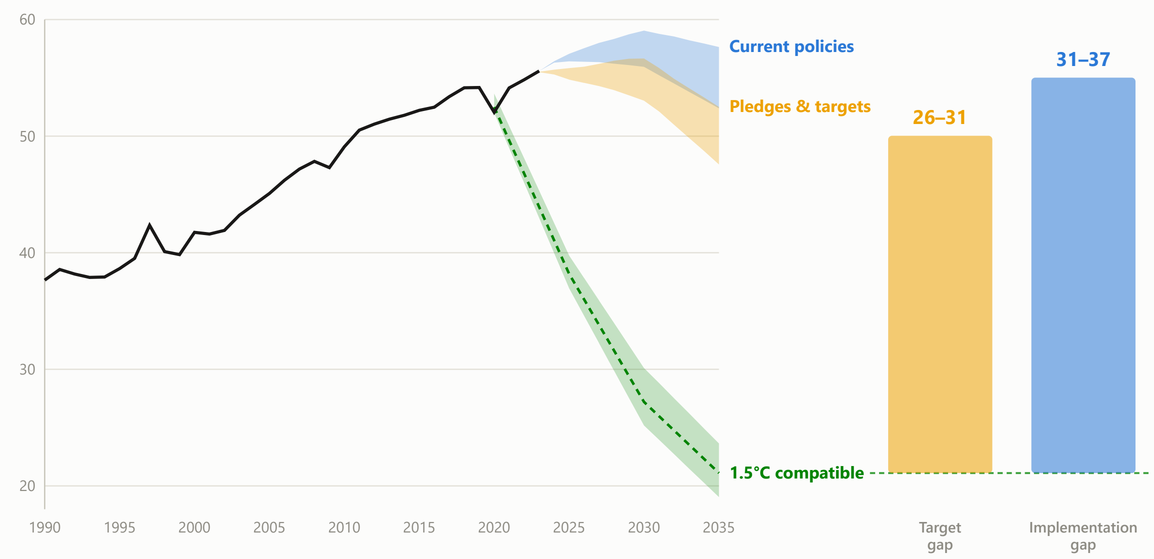


0.6
-0.8
-2.1
Δ poverty rate, pp/yr
-16.0
1.1
18.3
Real GRDP/capita growth, %/yr

CLIMATE ACTION TRACKER, NOVEMBER 2025

Current pledges leave a 31–37 GtCO2e implementation gap in 2035

Global GHG emissions, historical and projected under three policy scenarios, vs. the 1.5°C-compatible pathway

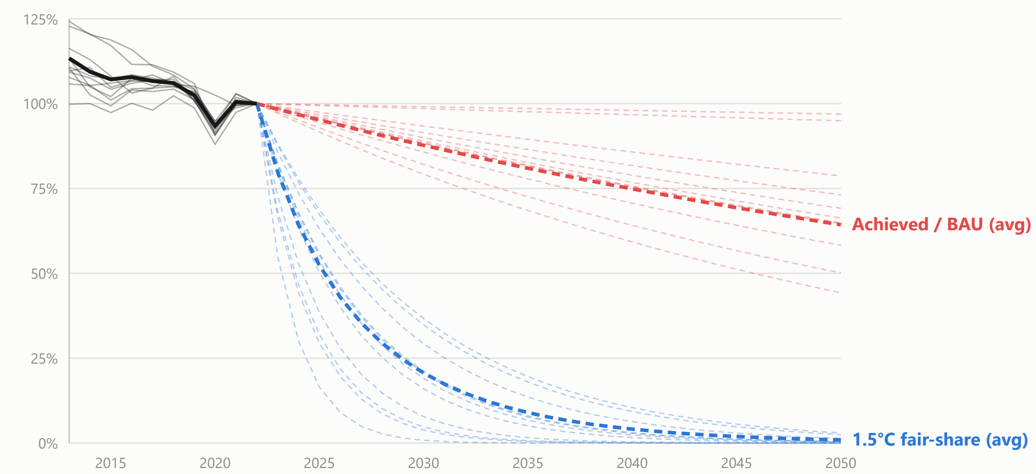


Historical (incl. LULUCF) Current policies & action Pledges & targets 1.5°C compatible

VOGEL & HICKEL (2023), LANCET PLANETARY HEALTH

Even “green growth” success stories fall far short of 1.5°C

CO_2 emissions in the 11 high-income countries that achieved absolute decoupling, each as % of its own 2022 level



Achieved (bold=avg, thin=each country) Business as usual

1.5°C fair-share (my approximation)

ROBERT F. KENNEDY · UNIVERSITY OF KANSAS, 18 MARCH 1968

“Except that which makes life worthwhile”

Two decades before GPI or any formal GDP alternative existed, this was already the critique

“But even if we act to erase material poverty, there is another greater task, it is to confront the poverty of satisfaction — purpose and dignity — that afflicts us all. Too much and for too long, we seemed to have surrendered personal excellence and community values in the mere accumulation of material things.

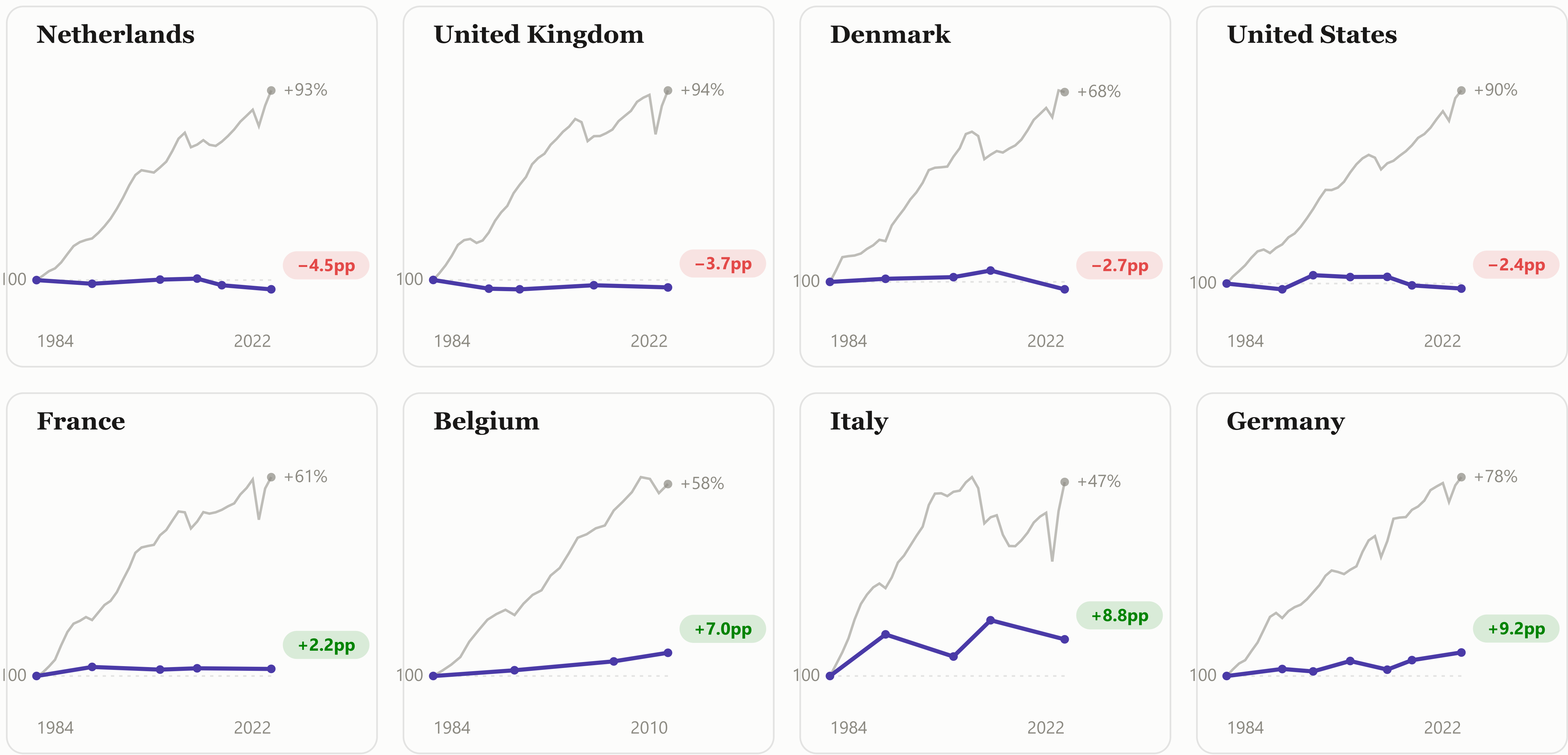
Our Gross National Product, now, is over $800 billion dollars a year, but that Gross National Product — if we judge the United States of America by that — that Gross National Product counts air pollution and cigarette advertising, and ambulances to clear our highways of carnage. It counts special locks for our doors and the jails for the people who break them. It counts the destruction of the redwood and the loss of our natural wonder in chaotic sprawl. It counts napalm and counts nuclear warheads and armored cars for the police to fight the riots in our cities. It counts Whitman’s rifle and Speck’s knife, and the television programs which glorify violence in order to sell toys to our children.

Yet the gross national product does not allow for the health of our children, the quality of their education or the joy of their play. It does not include the beauty of our poetry or the strength of our marriages, the intelligence of our public debate or the integrity of our public officials. It measures neither our wit nor our courage, neither our wisdom nor our learning, neither our compassion nor our devotion to our country — it measures everything, in short, except that which makes life worthwhile. And it can tell us everything about America except why we are proud that we are Americans.”

KUBISZEWSKI ET AL. (2013)

Economic growth doesn’t guarantee an increase in life satisfaction

GDP per capita vs. reported happiness, 8 rich countries, indexed to the mid-1980s = 100

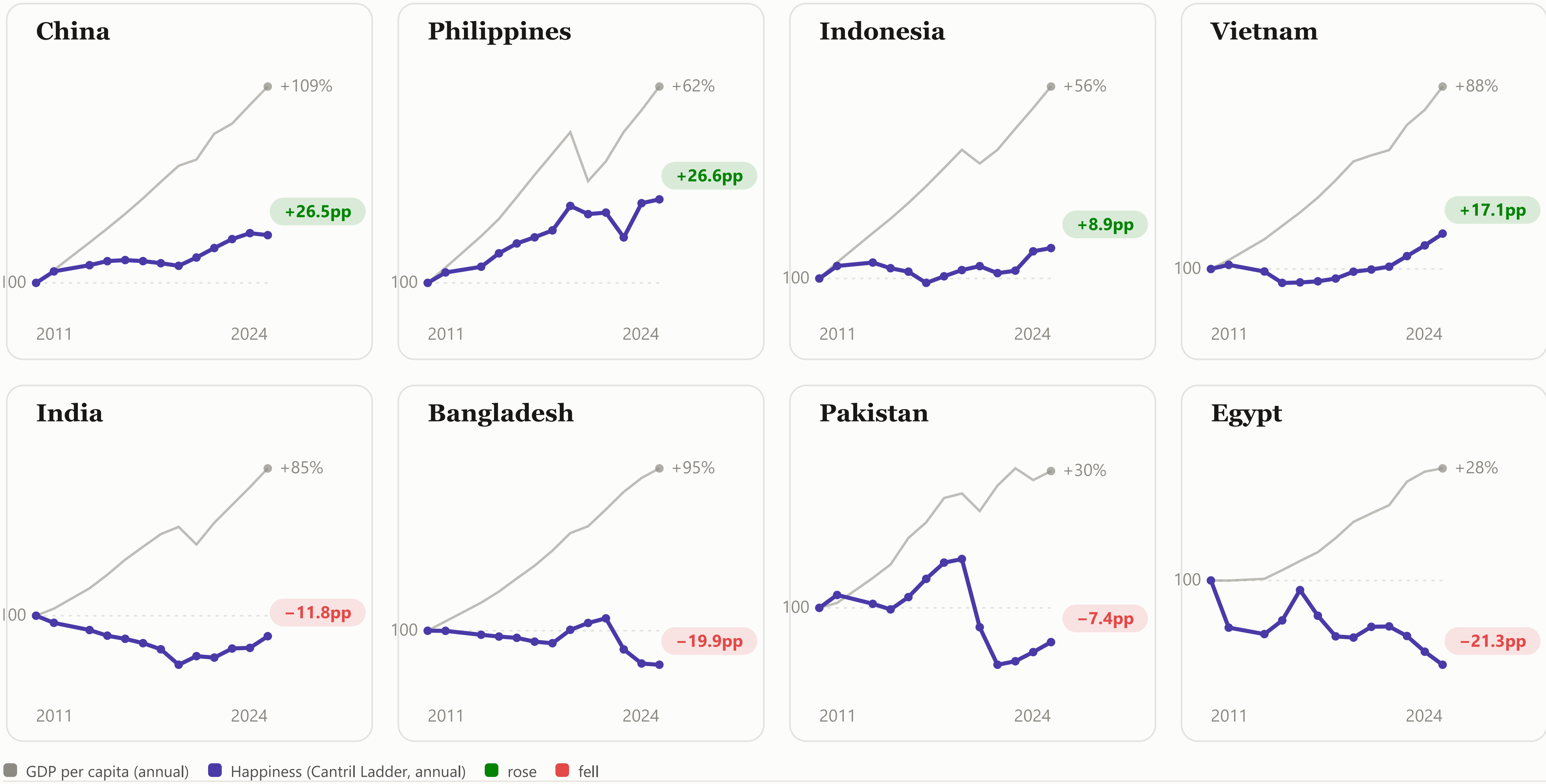


GDP per capita (annual) WVS happiness (survey waves) net change since first wave (red = fell, green = rose)

DOES THE SAME PATTERN HOLD IN DEVELOPING COUNTRIES?

Growth and happiness move together for some, apart for others

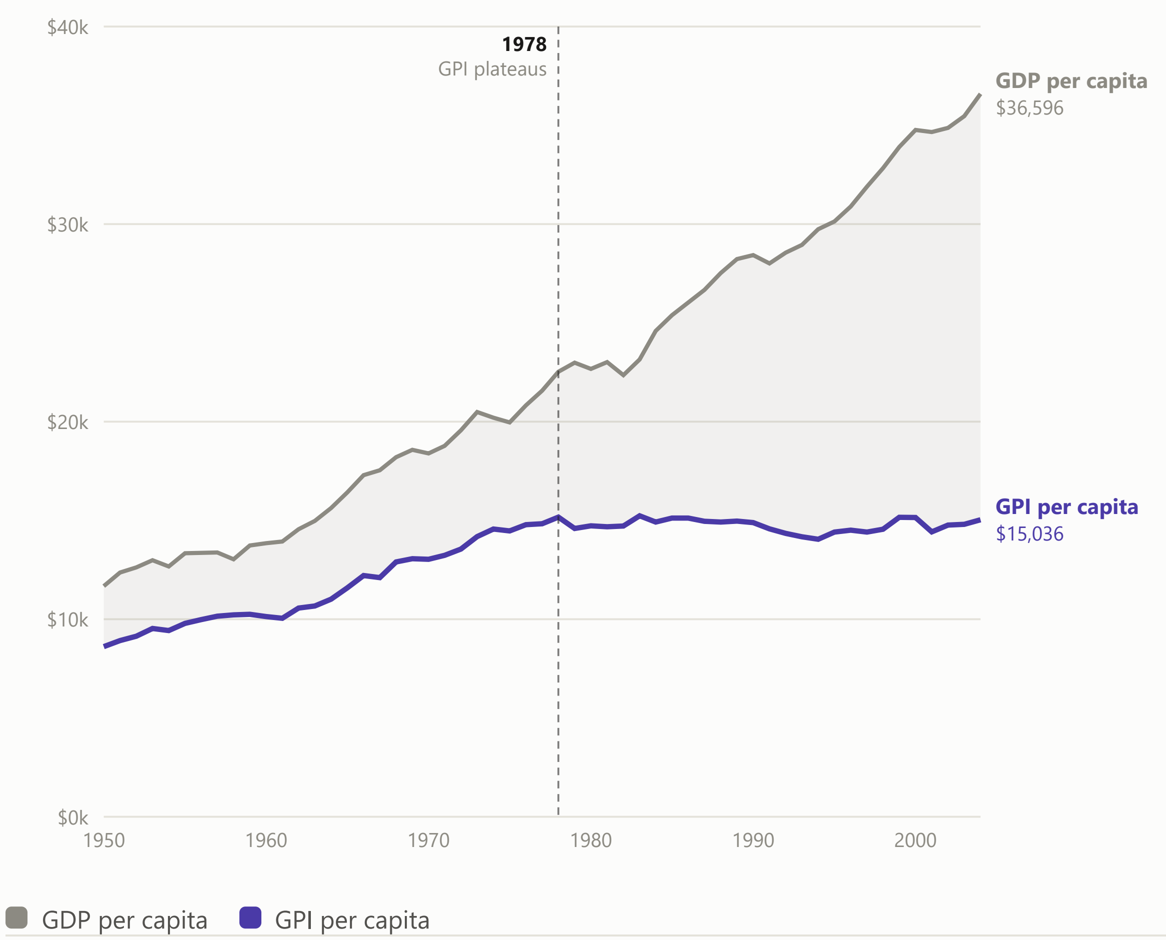
GDP per capita vs. reported happiness, 8 populous developing countries (4 rising, 4 falling), indexed to 2011 = 100



THE SCISSORS

Since 1978, GDP per person rose 62%. Genuine progress didn't move.

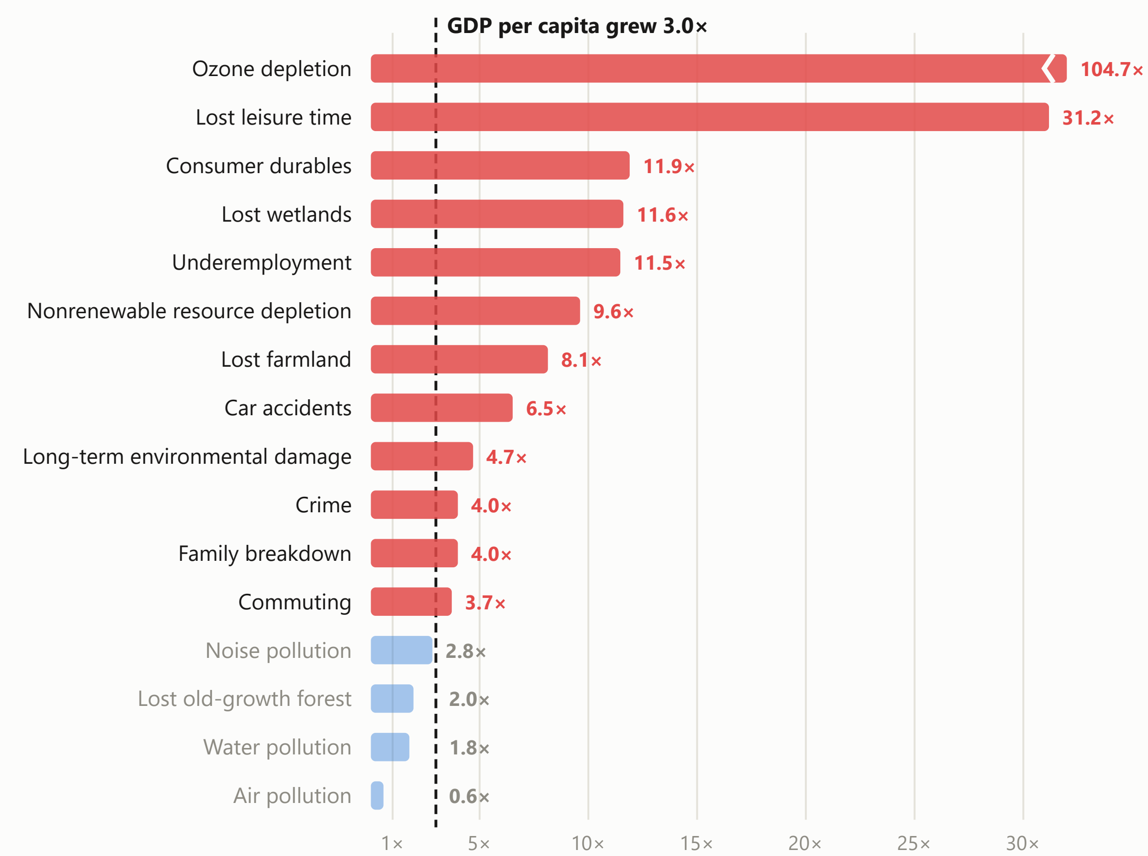
US GDP per capita vs. Genuine Progress Indicator per capita, constant 2000 dollars



WHAT GREW FASTER THAN THE ECONOMY

The costs GDP ignores grew faster than GDP itself

Growth multiple of each cost the GPI subtracts, 1950–2002, vs. GDP per capita's 3.0×



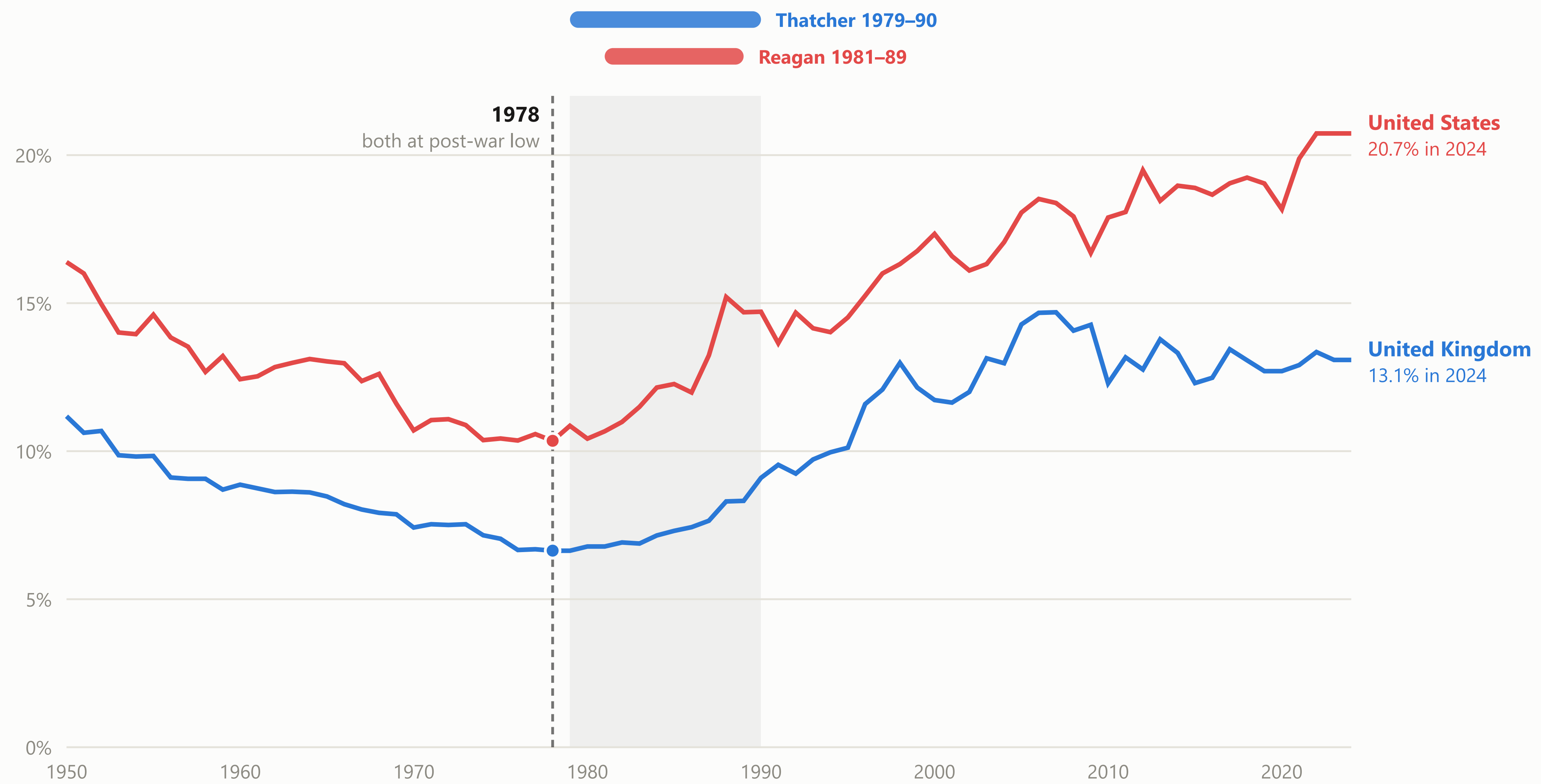
A TURNING POINT IN BOTH COUNTRIES

Ideology may have a role — so countries should choose theirs carefully

Inequality bottomed out in 1978, in both countries, and then the politics changed · Top 1% share of pre-tax national income, United States and United Kingdom, 1950–2024

Thatcher
UK, 1979–90

Reagan
US, 1981–89

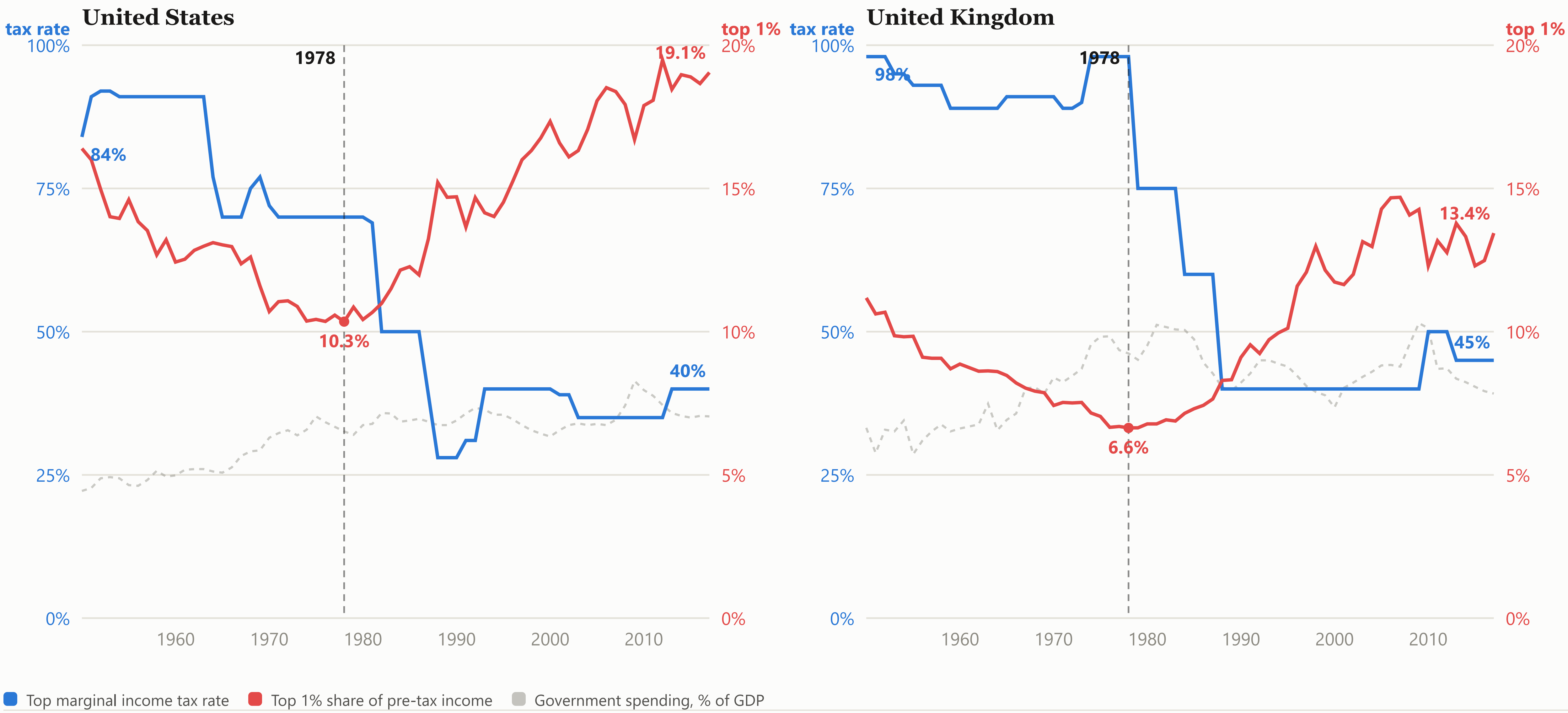


United States United Kingdom

NOT THE SIZE OF THE STATE — ITS PROGRESSIVITY

Inequality took off when the state's redistributive role was cut back

Top marginal income tax rate and top 1% share of pre-tax national income, United States and United Kingdom, 1950–2017 · government spending shown faintly behind



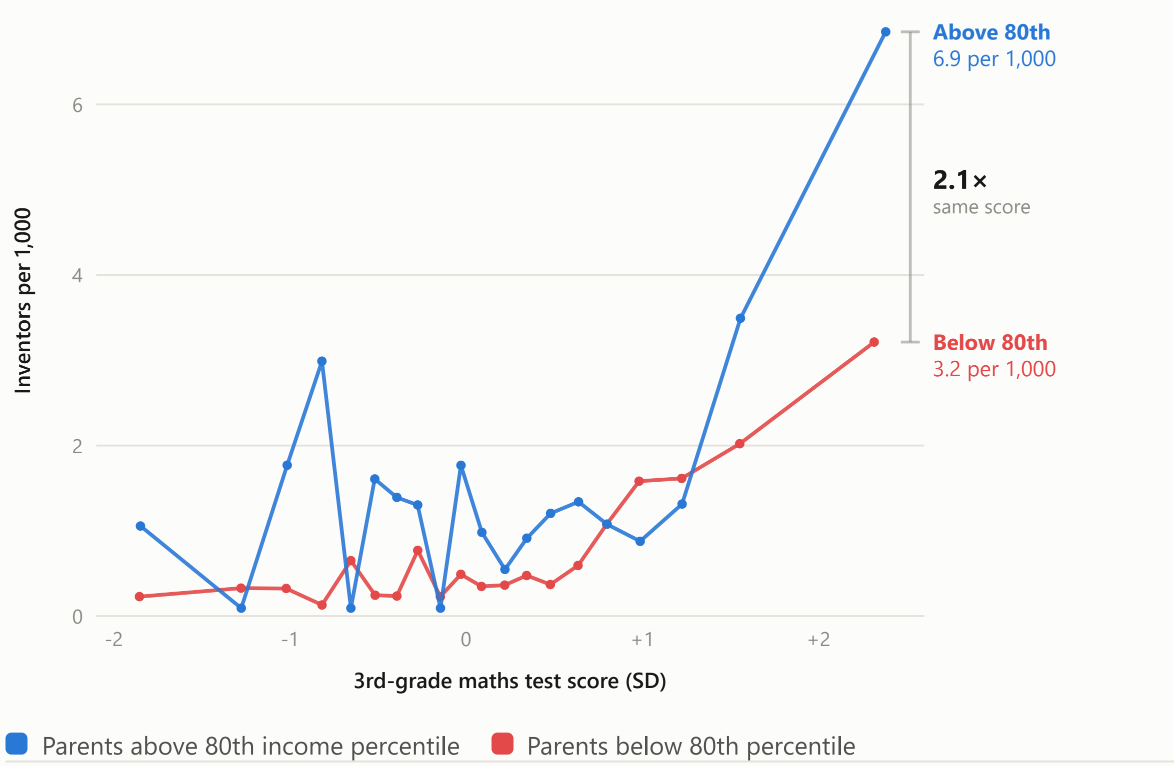
CHANGING THE PARADIGM

Sustained growth is innovation-driven, and talent is being wasted — ensure equality of opportunity and invest in social protection

LOST EINSTEINS · BELL, CHETTY, JARAVEL, PETKOVA & VAN REENEN (2019)

Same maths score, half the chance of inventing

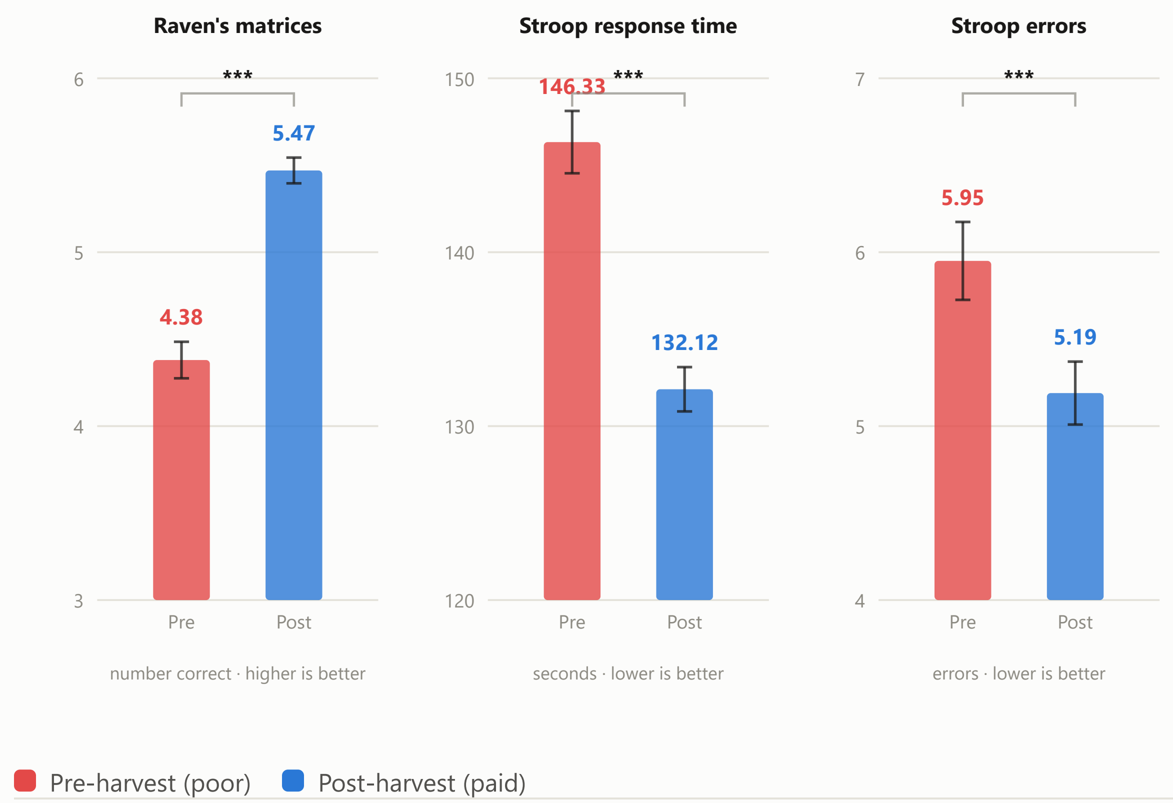
Inventors per 1,000, by 3rd-grade maths test score and parental income · NYC public schools, 1979–85 cohorts



MANI, MULLAINATHAN, SHAFIR & ZHAO (2013), *SCIENCE*

The same farmer thinks worse when short of cash

The same farmers, tested once while still waiting to be paid for their harvest and once after · Tamil Nadu, India



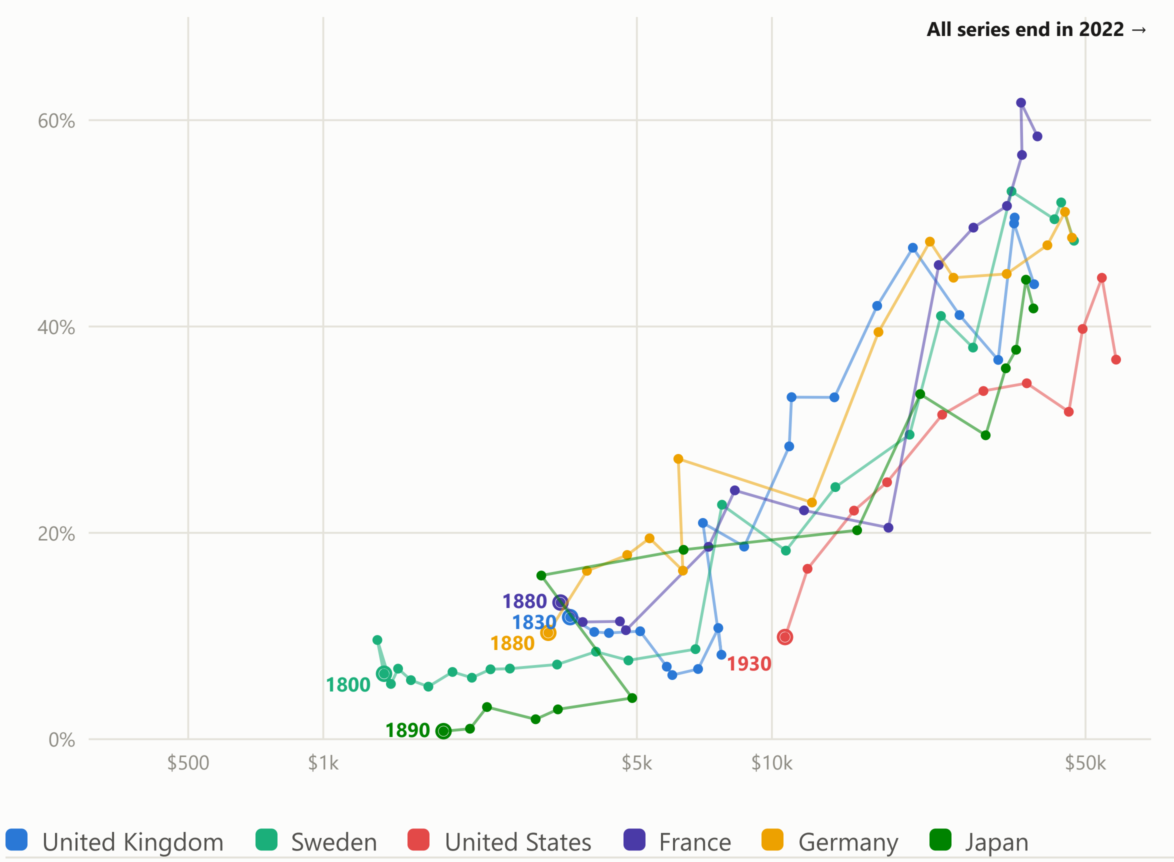
WAGNER'S LAW

Externalities and public goods are government's job — and as countries mature, that job grows, not shrinks. The state should be strengthened, in resources and capacity.

THE LONG RUN

And each one grew its state as it got richer

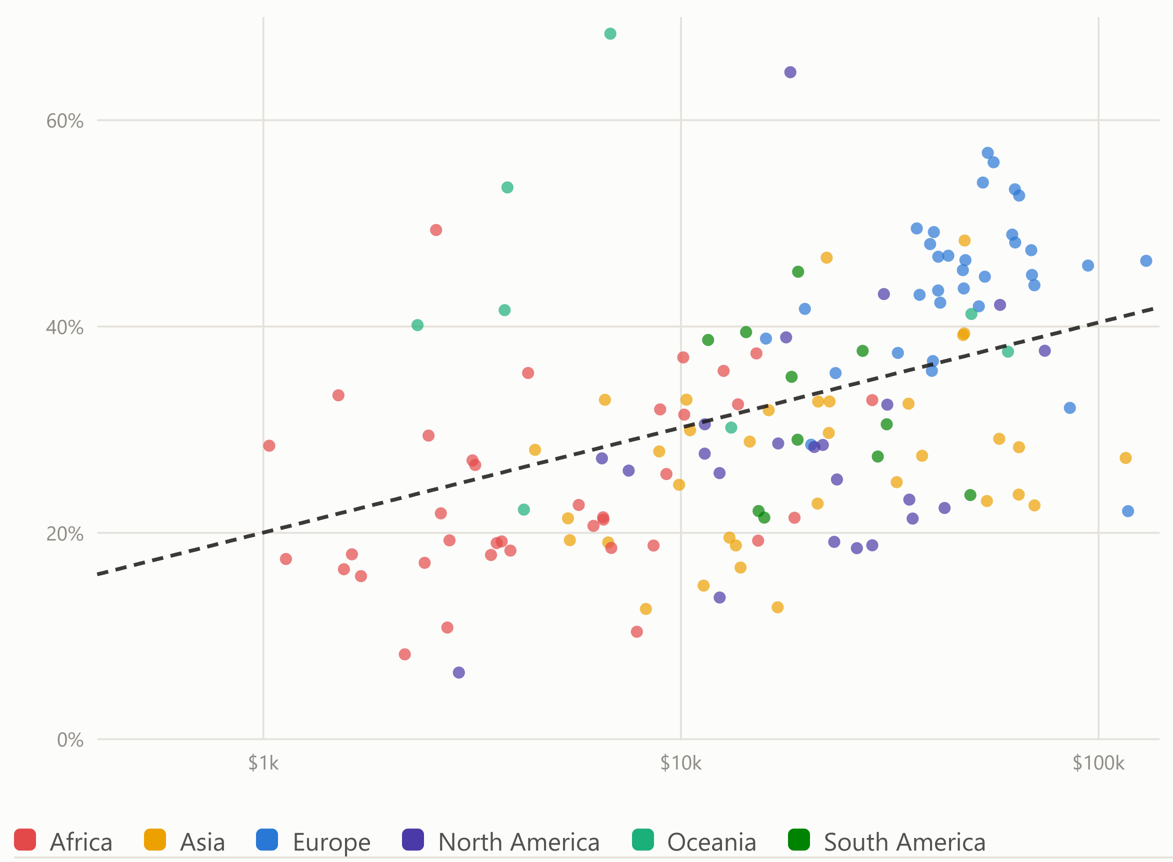
Government share of GDP vs. each country's own GDP per capita, by decade



THE CROSS-SECTION

Richer countries run bigger states

Government expenditure vs. GDP per capita (log, PPP), 149 countries, 2023



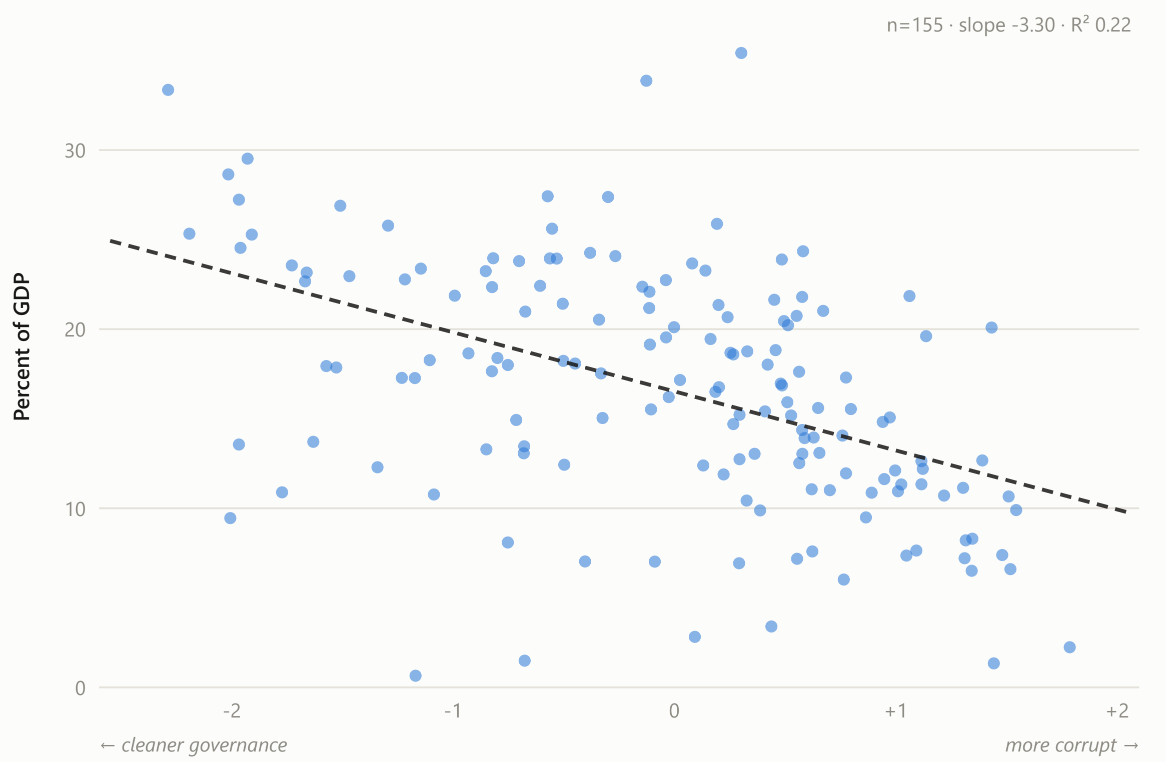
STATE CAPACITY

State capacity financing needs tax revenue — but that revenue requires accountability and good governance

CORRUPTION AND THE TAX BASE

Cleaner governance, higher tax take

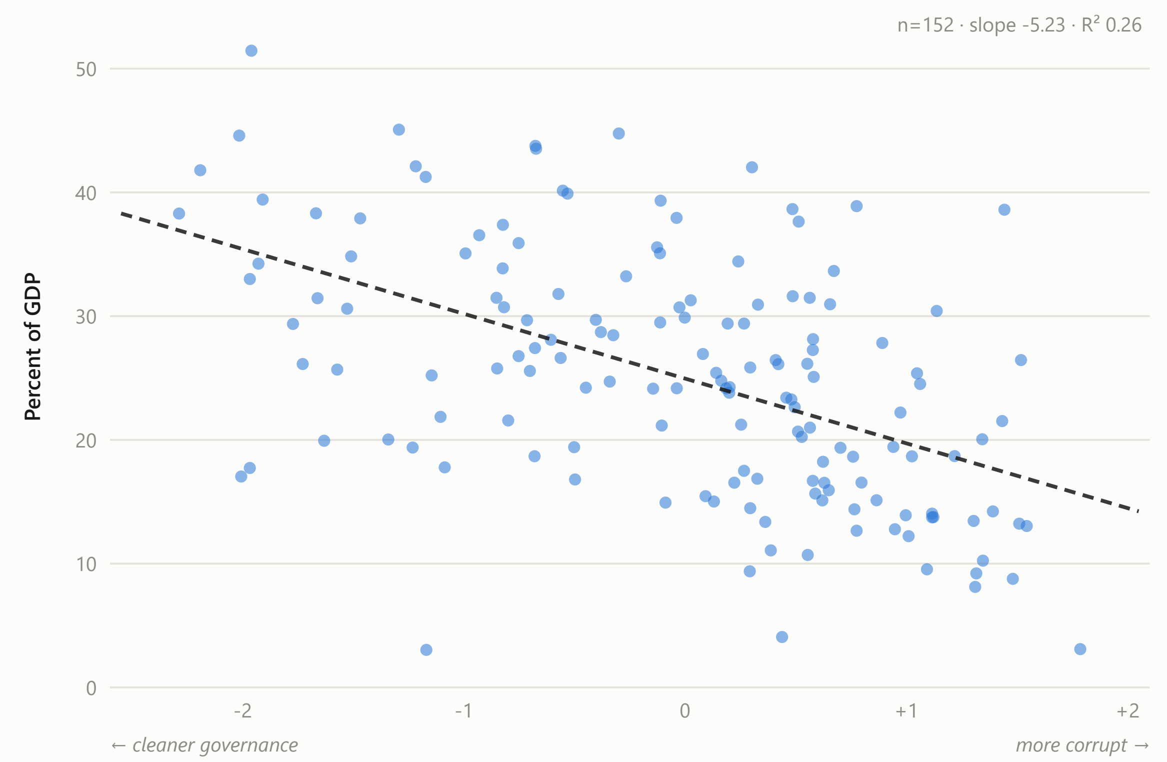
Tax revenue vs. corruption, latest year available per country



CORRUPTION AND TOTAL REVENUE

Same pattern for total government revenue

Government revenue vs. corruption, latest year available per country



EVERY STUDY CITED IN THIS DECK

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Compiled from each panel's own source note, in the order those notes were written — not retyped from memory

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Data infrastructure

Several panels draw on the same recurring databases and compilations rather than a single citable study:

World Bank: World Development Indicators (WDI); Worldwide Governance Indicators (WGI), 2025 revision; Poverty and Inequality Platform; INDO-DAPOER; the Lakner-Milanovic World Panel Income Distribution.

World Inequality Database (WID.world), via its official R package.

OECD: Income Distribution Database (IDD); *Compendium of Productivity Indicators 2018*, Figure 5.5 StatLink data.

Our World in Data, compiling: World Values Survey happiness waves; Gallup World Poll Cantril Ladder / World Happiness Report series; Global Carbon Project consumption-based CO_2 data; Maddison Project Database; government-expenditure historical series.

FRED (Federal Reserve Economic Data): Global Economic Policy Uncertainty Index (GEPUCURRENT).

ParlGov election results, merged with PopuList v4.0 party classifications.

Sources. Each panel carries its own citation and caveats. Across the deck: World Bank WDI and INDO-DAPOER APIs; the OECD SDMX API and the StatLink spreadsheet behind Figure 5.5 of the 2018 *Compendium of Productivity Indicators*; WID.world via its official R package; FRED; ParlGov election results merged with PopuList v4.0 party classifications; the Lakner-Milanovic World Panel Income Distribution; and IMF SDN/2023/001 for the traced Global Trade Alert figure. Where a number is estimated rather than pulled, the panel says so.